

Structured Products

Standard Suitability Hypotheticals

30 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Hypothetical 1

[NON-COMPLIANT]

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in suburban Ohio. She receives a monthly pension of \$2,800 and Social Security benefits of \$1,650 per month. Her total liquid savings amount to approximately \$340,000, held primarily in certificates of deposit and a money market account at her local bank. She has no prior experience with equities, options, or structured products. On her new account form completed in March 2022, her stated investment objectives were 'income' and 'preservation of capital,' and her risk tolerance was marked as 'conservative.' She told her financial advisor, Kevin Marsh, that she wanted to generate a little more income than her CDs were paying but could not afford to lose any of her principal because the \$340,000 represented her entire emergency fund and long-term care cushion.

In April 2022, Marsh recommended that Mrs. Ellison invest \$150,000—roughly 44% of her liquid net worth—into three separate reverse convertible notes, each linked to a different single equity underlier: a large-cap technology stock, a mid-cap biotech company, and an energy sector stock. Each note had a 12-month maturity, offered a stated coupon of 11% to 14%, and contained a knock-in barrier set at 70% of the initial stock price. Marsh explained to Mrs. Ellison that the products paid 'much higher interest than CDs' and described them as 'similar to bonds but with better yields.' He did not explain the equity-linked downside risk, the knock-in barrier mechanism, or the possibility that she could receive shares of stock worth significantly less than her principal at maturity. He did not provide the product-specific pricing supplements or discuss the embedded put option she was effectively selling.

By April 2023, when the notes matured, the biotech underlier had fallen 42% from its initial reference price, breaching the knock-in barrier. Mrs. Ellison received shares of the biotech stock instead of her \$50,000 principal on that note, and those shares were worth approximately \$29,000 at maturity. The technology-linked note returned full principal plus coupon, and the energy-linked note also returned full principal plus coupon. After accounting for all coupon payments received across the three notes (totaling approximately \$18,750), Mrs. Ellison still suffered a net loss of approximately \$2,250 on the combined position, but more critically, she was left holding volatile biotech shares she neither understood nor wanted, with ongoing market risk. She filed a complaint stating she was never told she could lose her principal or receive stock instead of cash.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Marsh violated multiple applicable regulatory standards in recommending reverse convertible notes to Margaret Ellison.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a registered representative have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and other relevant factors. There are three component obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

- ***Reasonable-Basis Suitability:** Marsh appears to have lacked a sufficient understanding of the reverse convertible products themselves if he characterized them as 'similar to bonds but with better yields.' Reverse convertibles are structured notes with embedded equity put options, meaning the investor bears downside equity risk while earning an enhanced coupon. FINRA Regulatory Notice 10-09 specifically reminds firms that registered representatives must understand the risks, terms, and costs of reverse convertibles before recommending them. A representative who cannot articulate the knock-in barrier mechanism, the embedded short put, or the potential for principal loss in the form of depreciated shares fails reasonable-basis suitability.

- ***Customer-Specific Suitability:** Mrs. Ellison's profile-age 71, conservative risk tolerance, capital preservation and income objectives, no prior experience with equities or structured products, and the fact that the \$340,000 represented her entire financial cushion-made reverse convertibles clearly unsuitable for her. These products expose investors to equity-like downside risk, which is fundamentally incompatible with a capital preservation objective. FINRA RN 09-73 (Suitability for Complex Products) emphasizes heightened suitability obligations when recommending complex products to retail investors, particularly those who lack sophistication. Allocating 44% of her liquid net worth to these instruments dramatically magnified the risk.

****Regulation Best Interest (Reg BI) Analysis:****

Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's investment profile and the potential risks and rewards. Recommending equity-linked downside risk instruments to a 71-year-old conservative investor with capital preservation needs plainly fails this standard.

Reg BI's Disclosure Obligation also requires that material facts about the recommendation be disclosed, including risks and conflicts. Marsh's omission of the knock-in barrier mechanics, the possibility of receiving depreciated stock at maturity, and the embedded option component constitutes a material disclosure failure.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Mischaracterizing reverse convertibles as similar to bonds is misleading and inconsistent with the just and

equitable principles of trade required by FINRA Rule 2010.

****FINRA Regulatory Notice 12-03 (Heightened Supervision for Complex Products):****

RN 12-03 outlines firms' obligations when selling complex products, including ensuring adequate training for representatives, performing a reasonable-basis suitability analysis of the product itself, and implementing heightened supervisory procedures. The firm's supervisory system should have flagged a concentration of 44% of a conservative retiree's liquid assets in reverse convertibles.

****Likely Regulatory Outcome:****

Marsh and his firm face potential enforcement action for unsuitable recommendations, failure to disclose material risks, and supervisory failures. Remedies could include disgorgement, restitution to Mrs. Ellison for her net losses and the ongoing market risk of the biotech shares, fines, and potential suspension. In arbitration, Mrs. Ellison would likely recover compensatory damages reflecting her losses net of coupon income, plus potentially consequential damages related to the forced equity position she did not want.

Hypothetical 2

[NON-COM

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

In March 2022, financial advisor Derek Hollis of Pinnacle Wealth Partners recommended that his client, Barbara Finnegan, age 71, invest \$185,000 in a series of reverse convertible notes linked to three volatile biotechnology stocks. Mrs. Finnegan was a retired elementary school teacher with a fixed annual income of \$42,000 from her pension and Social Security. Her total liquid net worth was approximately \$310,000, held primarily in certificates of deposit and a money market account. Her stated investment objectives on file were capital preservation and income generation, and her risk tolerance was listed as conservative. Mrs. Finnegan had no prior experience with structured products, options, or any derivative-linked instruments. During the recommendation, Hollis described the reverse convertibles as 'like a CD but with a better coupon,' emphasizing the 11.5% annualized coupon rate while omitting meaningful discussion of the downside conversion risk or the fact that she could receive shares of a biotech stock trading at a fraction of the initial reference price. The embedded fees on the products totaled approximately 4.75%, which were not separately disclosed but were built into the pricing structure. Hollis earned a gross commission of \$8,788 on the transactions. Within seven months, two of the three underlying biotech stocks fell below their knock-in barrier levels by more than 35%. At maturity in September 2022, Mrs. Finnegan received physical delivery of depreciated biotech shares worth a combined \$107,400 instead of her \$185,000 principal, resulting in a loss of \$77,600 - partially offset by the \$10,637 in coupon payments she received over the six-month term. Mrs. Finnegan stated in a subsequent complaint that she never understood she could lose her principal or that she might end up holding volatile biotech stocks, and that Hollis told her the investment was 'basically guaranteed income.' Her account application showed no changes were made to reflect any updated risk profile before the purchases, and the firm's supervisory review consisted solely of an automated order-entry check with no independent assessment of the product's suitability for a conservative retiree.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis violated multiple regulatory standards governing the sale of structured products to retail investors. Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. Mrs. Finnegan was a 71-year-old conservative retiree with limited liquid assets, no experience with structured products, and explicitly stated objectives of capital preservation and income generation. Reverse convertible notes are complex instruments that expose investors to significant downside equity risk while capping upside returns at the coupon payment. They are fundamentally inconsistent with a capital preservation objective, particularly when linked to volatile biotech stocks.

Under Regulation Best Interest (Reg BI), the advisor owed Mrs. Finnegan a duty under the Care Obligation to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and rewards of the product, and to have a reasonable basis to believe it was in her best interest given her profile. Hollis failed this standard by recommending a product whose risk-return profile was diametrically opposed to her stated needs. The Disclosure Obligation under Reg BI also required full and fair disclosure of all material facts, including the nature of the downside risk and the embedded fees. Hollis's characterization of the product as 'like a CD but with a better coupon' and 'basically guaranteed income' was materially misleading and likely constituted a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade).

FINRA Regulatory Notice 10-09 specifically warns firms about the sale of reverse convertibles to retail investors, emphasizing that these products may be unsuitable for investors seeking principal protection or who do not understand the complex payoff structures. FINRA RN 09-73 further highlights concerns about complex products and the heightened supervisory obligations firms bear when allowing their sale, including ensuring that representatives adequately understand and can explain the products. FINRA RN 12-03 reinforces that firms must ensure complex products are sold only to investors for whom they are suitable and that heightened supervision is required.

The embedded fees of 4.75% (\$8,788 commission) further aggravate the unsuitability, as the high cost burden made it even less likely Mrs. Finnegan would achieve her income and preservation objectives on a risk-adjusted basis. The firm's supervisory failure - relying solely on automated order-entry checks without independent suitability review for a complex product sold to a conservative elderly customer - constitutes a violation of FINRA's supervisory obligations under Rule 3110.

The likely regulatory outcome would include restitution to Mrs. Finnegan for her net losses (approximately \$66,963 after coupon payments), disgorgement of commissions, potential fines against both Hollis and the firm, a suspension or bar for Hollis depending on the scope of similar conduct, and enhanced supervisory requirements imposed on the firm. An arbitration panel would likely find in Mrs. Finnegan's favor on claims of unsuitability, misrepresentation, and failure to supervise.

Hypothetical 3

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

Fact Pattern

Margaret Dalton, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total investable assets are approximately \$310,000, the majority of which is held in a traditional IRA that constitutes her primary source of savings for medical expenses and supplemental living costs. On her new account form, completed in March 2023, Margaret indicated a conservative risk tolerance, a primary investment objective of capital preservation, a time horizon of three to five years, and limited investment experience consisting solely of certificates of deposit and a balanced mutual fund held for over a decade. She told her advisor, Kevin Royce, that she could not afford to lose any principal because she had no other financial safety net beyond her pension.

In April 2023, Royce recommended that Margaret invest \$155,000 - roughly half of her liquid net worth - into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company. The note offered a 12.5% annualized coupon, which Royce emphasized during three phone conversations and one in-person meeting. Royce described the product as 'like a CD but with a better interest rate' and told Margaret the coupon payments would help supplement her pension income. He did not explain the knock-in barrier at 70% of the initial stock price, nor did he describe the scenario under which Margaret could receive shares of the underlying biotech stock instead of her principal at maturity. The product's offering documents, totaling 94 pages, were mailed to Margaret but she later stated she did not read them and relied entirely on Royce's oral explanations.

By June 2024, the biotech stock had fallen 42% from its reference price due to a failed Phase III clinical trial. At maturity, Margaret received 3,875 shares of the biotech company valued at approximately \$89,900 instead of her \$155,000 in principal. Including the coupon payments she had received totaling approximately \$18,100, her net loss was roughly \$46,900. Margaret filed a complaint in August 2024 alleging that Royce never explained the downside risk structure and that the investment was wholly inconsistent with her stated financial needs and risk profile. Royce's firm's internal records show that no structured product training was completed by Royce in the 18 months prior to the sale, and the branch manager approved the transaction after a cursory review that lasted under two minutes.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Royce violated multiple applicable suitability and best interest standards in recommending the reverse convertible note to Margaret Dalton.

****Applicable Standards and Analysis:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the

customer, based on reasonable diligence to ascertain the customer's investment profile. Rule 2111 encompasses three component obligations:

- ***Reasonable-basis suitability:*** The advisor must understand the product being recommended. Royce had completed no structured product training and mischaracterized the reverse convertible as similar to a CD. Reverse convertibles are complex instruments that embed a short put option; they expose the investor to full downside equity risk below the knock-in barrier while capping upside at the coupon. Royce's failure to understand or accurately convey the product's mechanics is a clear reasonable-basis suitability violation.

- ***Customer-specific suitability:*** Margaret was 71, retired, conservative, seeking capital preservation with a short time horizon, and had no experience with complex products. Allocating 50% of her investable assets to a product linked to a volatile mid-cap biotech stock is fundamentally inconsistent with her documented profile. FINRA Regulatory Notice 12-03 specifically warns that concentration in complex products amplifies suitability concerns.

- ***Quantitative suitability:*** While this component is less directly implicated, the sheer dollar amount relative to Margaret's total assets (\$155,000 of \$310,000) reflects an excessive concentration that compounds the customer-specific violation.

2. ****Regulation Best Interest (Reg BI):**** Under the SEC's Regulation Best Interest, Royce was required to act in Margaret's best interest at the time of the recommendation. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, evaluating it against the customer's profile, and considering reasonably available alternatives. A 12.5% coupon reverse convertible linked to a single volatile biotech equity was clearly not in the best interest of a 71-year-old conservative retiree who explicitly stated she could not afford principal loss. The Disclosure Obligation was also violated: Royce affirmatively misrepresented the product as CD-like, omitted the knock-in barrier mechanism, and failed to explain the stock delivery risk at maturity.

3. ****FINRA Regulatory Notice 10-09:**** This notice specifically addresses reverse convertibles and warns firms that these products may be unsuitable for investors seeking principal protection. It highlights that the high coupon reflects the embedded risk of the short put position and that investors must understand they may receive depreciated stock instead of principal. Royce's failure to explain these features directly contravenes the guidance.

4. ****FINRA Regulatory Notice 09-73:**** This notice addresses complex products broadly and emphasizes that firms must ensure adequate training for representatives selling such products and must have robust supervisory procedures. The fact that Royce had no structured product training in the prior 18 months, and the branch manager's approval was cursory (under two minutes for a \$155,000 structured note sale to a conservative retiree), reflects a supervisory failure under this guidance.

5. ****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):**** Royce's affirmative mischaracterization of the product as CD-like, combined with his omission of critical risk features, rises to the level of a violation of just and equitable principles of trade. This is not merely a failure of adequate disclosure but an affirmative misrepresentation that induced the customer to invest.

****Likely Regulatory Outcome:**** Royce would likely face disciplinary action including fines, suspension, and potential barring from the industry. The firm would face supervisory failure charges for inadequate training

requirements, insufficient review procedures for complex product sales to retail customers, and failure to implement heightened scrutiny for concentrated positions in structured products held by elderly, conservative investors. Margaret would have strong grounds for recovery in arbitration, including compensatory damages for her net losses of approximately \$46,900, and potentially additional relief. The firm's compliance failures - lack of advisor training and inadequate supervisory review - would likely result in separate sanctions against the branch manager and potentially the firm's compliance infrastructure.

Hypothetical 4

[NON-COMPLIANCE]

Topic: *failure_to_know_customer* | Difficulty: *hard*

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Tampa, Florida, with an annual pension income of \$38,000 and Social Security benefits of \$22,800. His total liquid net worth is approximately \$285,000, held primarily in a rollover IRA and a small taxable brokerage account. Gerald has a high school education and no prior experience with any investments beyond certificates of deposit and a money market fund. He visited the branch office of his brokerage firm in March 2024 seeking guidance on generating modest supplemental income without putting his retirement savings at significant risk. His new account form, completed hastily during the initial meeting, listed his investment objective as 'growth' and his risk tolerance as 'moderate,' though Gerald later stated he told the advisor he 'couldn't afford to lose any of this money' and simply wanted 'something safe that pays a little better than the bank.' His advisor, Craig Linden, age 34, had been registered for four years and had recently attended an internal product training session on structured notes offered through the firm's capital markets desk. During the initial meeting, which lasted approximately 25 minutes, Craig did not ask Gerald about his familiarity with derivatives, options, equity-linked instruments, or structured products. Craig did not inquire about Gerald's tax situation, his monthly living expenses, or whether he had any other sources of emergency funds. No investment profile questionnaire beyond the new account form was completed. Two weeks later, Craig called Gerald and recommended he invest \$190,000 - roughly 67% of his liquid net worth - into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company, Veritex Genomics Inc. The note offered a 12.5% annualized coupon but carried full downside equity risk if Veritex shares fell below a 70% knock-in barrier at maturity. Craig described the product to Gerald as a 'high-yield income note' and told him it would 'pay you over twelve percent a year, which is way better than any CD.' Craig did not explain the knock-in barrier mechanism, the possibility that Gerald could receive depreciated shares of Veritex instead of his principal, or the fact that the note's upside was capped at the coupon while the downside was equivalent to owning the underlying stock. Craig also did not disclose that the firm earned a 2.75% selling concession on the transaction, totaling \$5,225. Gerald agreed to the purchase based on Craig's description. By January 2025, Veritex Genomics had declined 44% due to a failed clinical trial, breaching the knock-in barrier. At maturity in May 2025, the stock had partially recovered but was still down 31%. Gerald received shares of Veritex worth approximately \$131,100 instead of his \$190,000 principal, resulting in a loss of approximately \$58,900 before accounting for the coupon payments he received totaling roughly \$23,750. His net loss was approximately \$35,150. Gerald filed a complaint stating he never understood the product, was never told he could lose principal, and believed he was buying something similar to a CD.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable standards. First, under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, which includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer discloses. Craig Linden failed at the most fundamental level - the 'know your customer' obligation - by not gathering essential information about Gerald Whitfield's actual investment experience, familiarity with complex instruments, monthly expenses, liquidity needs, emergency reserves, or tax circumstances. The new account form was completed hastily and inaccurately reflected Gerald's objectives and risk tolerance, which Gerald's own statements directly contradict. FINRA Regulatory Notices 09-73 and 10-09 specifically warn member firms that reverse convertibles are complex products combining a debt instrument with a put option written by the investor, and that firms must ensure customers understand the product's risks, including the possibility of receiving depreciated stock instead of principal. FINRA RN 12-03 further emphasizes heightened scrutiny for complex products and states that a registered representative cannot satisfy suitability obligations without understanding the product and ensuring the customer also understands the risks. Craig's characterization of the reverse convertible as a 'high-yield income note' comparable to a CD was materially misleading and violates FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade). Under Regulation Best Interest (Reg BI), which applies to broker-dealer recommendations to retail customers, Craig was required to satisfy the Care Obligation by exercising reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. The Disclosure Obligation required Craig to disclose material facts about the recommendation, including the firm's \$5,225 selling concession. Craig failed both. Additionally, concentrating 67% of a 71-year-old retiree's liquid net worth in a single reverse convertible linked to a volatile mid-cap biotech stock is quantitatively unsuitable under any reasonable analysis. The customer-specific suitability analysis fails on virtually every metric: Gerald's age, limited income, lack of sophistication, conservative actual risk tolerance, income-oriented objective, and inability to absorb losses all point to unsuitability. A likely regulatory outcome would include findings of violation of FINRA Rules 2111 and 2010, as well as Reg BI, potential suspension or bar for the representative, restitution to the customer, and possible supervisory failures charged against the firm for inadequate review of a complex product sale to an evidently unsuitable customer.

Hypothetical 5

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Dalton, age 74, is a retired elementary school teacher living in Tallahassee, Florida. She receives a pension of \$3,200 per month and Social Security of \$1,850 per month, bringing her total fixed income to approximately \$60,600 annually. She has \$410,000 in savings, of which \$280,000 is held in an IRA rollover

[NON-COM

account at Beacon Ridge Financial Services. Margaret has no prior experience investing in anything other than certificates of deposit, Treasury bonds, and a single balanced mutual fund that her previous advisor selected for her in 2011. She has described herself on account opening documents as having a "conservative" risk tolerance, with investment objectives listed as "income" and "preservation of capital." She is a widow and her primary financial concern, expressed repeatedly during meetings, is making sure she does not outlive her savings and can cover potential long-term care expenses.

In March 2023, her newly assigned advisor, Kevin Roarke, age 32, who had been with Beacon Ridge for 14 months, recommended that Margaret invest \$150,000 of her IRA in a series of reverse convertible notes linked to a basket of three technology stocks - a semiconductor company, a cloud computing firm, and a social media platform. The notes had a 14-month maturity, offered a 9.8% annualized coupon, and included a 70% knock-in barrier, meaning Margaret's principal would be converted to shares of the worst-performing stock if any of the three stocks fell below 70% of its initial price at any point during the term. The issuer was a mid-sized European investment bank.

Kevin presented the product to Margaret primarily by emphasizing the 9.8% coupon, telling her it was "almost like a CD but with a much better rate." He did not provide her with any written materials describing the knock-in barrier, the contingent downside exposure, or the issuer credit risk. He did not document any discussion of the specific risks of reverse convertibles, the mechanics of the worst-of basket structure, or the fact that her principal could be converted into depreciated shares of a single volatile stock. Margaret signed the purchase authorization, later stating she believed she was buying something similar to a high-yield bond.

Kevin's customer account records contained no updated financial profile for Margaret since her account was reassigned to him in January 2023. The original new account form from 2019 listed her liquid net worth at \$450,000 and age as 70. No notes existed reflecting any conversation about her current health, expenses, liquidity needs, or understanding of structured products. Kevin did not conduct or document any analysis comparing the reverse convertibles to simpler income-producing alternatives such as Treasury securities, agency bonds, or high-quality corporate bonds.

By August 2023, the semiconductor stock in the basket had declined 38% from its reference price, breaching the knock-in barrier. At maturity in May 2024, the social media stock was the worst performer at 61% of its initial value. Margaret's \$150,000 principal was converted into shares of the social media company worth approximately \$91,500, resulting in a net loss of approximately \$58,500 before accounting for the coupon payments she received totaling roughly \$14,700. Her net loss was approximately \$43,800, representing more than 10% of her total retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Roarke violated multiple regulatory obligations in his recommendation and sale of reverse convertible notes to Margaret Dalton.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and**

Quantitative Suitability):**

FINRA Rule 2111 requires that a financial advisor have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This profile includes, among other factors, the customer's age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Kevin failed the most fundamental element of the suitability obligation: he did not update or verify Margaret's customer profile after being assigned her account. The account form was nearly four years old and did not reflect her current financial circumstances, health status, or liquidity needs. FINRA Regulatory Notice 12-03 explicitly states that advisors must attempt to gather and analyze relevant customer information before making recommendations and must update that information as circumstances change, especially when a new advisor inherits an account.

Reasonable-Basis Suitability:

FINRA Regulatory Notice 10-09 specifically addresses structured products, including reverse convertibles, and warns that these instruments have complex payoff structures that require thorough analysis. The notice states that firms and advisors must understand the product, including its risks, rewards, and costs, before recommending it. Kevin compared the product to a CD, demonstrating either a fundamental misunderstanding of reverse convertibles or a deliberate misrepresentation. A reverse convertible is an unsecured debt obligation of the issuer combined with a short put option on the reference asset - it is categorically different from a certificate of deposit. Kevin's failure to understand or convey this distinction constitutes a reasonable-basis suitability violation.

Customer-Specific Suitability:

Margaret was a 74-year-old retired teacher with conservative risk tolerance, income and capital preservation objectives, no experience with structured products or equities, and heavy dependence on her savings for retirement and potential long-term care. Allocating \$150,000 - roughly 54% of her IRA and 37% of her total savings - to a worst-of basket reverse convertible linked to three volatile technology stocks was grossly inconsistent with her stated objectives and risk profile. FINRA RN 09-73 emphasizes heightened suitability obligations when recommending complex products to retail investors, particularly seniors. The concentrated exposure to a single sector and the contingent principal loss mechanism made this recommendation unsuitable on its face.

Reg BI (Regulation Best Interest) Violations:

Under Reg BI's Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making his recommendation, including understanding the risks and rewards of the reverse convertibles, considering Margaret's individual profile, and evaluating reasonably available alternatives. He did none of these things. He failed to consider simpler alternatives (Treasuries, investment-grade corporate bonds, CDs) that would have met her income needs without exposing her to potential significant principal loss. The Disclosure Obligation under Reg BI also required that Kevin disclose material facts about the recommendation, including risks and conflicts of interest. His characterization of the product as similar to a CD was materially misleading.

FINRA Rule 2010 (Standards of Commercial Honor):

Kevin's misleading description of the reverse convertible as being "almost like a CD" and his failure to provide written risk disclosures violate the ethical standards required of associated persons under Rule 2010.

****Likely Regulatory Outcome:****

Kevin and Beacon Ridge Financial Services face significant exposure. A FINRA examination or customer complaint would likely result in findings of unsuitable recommendations, failure to know the customer, and inadequate disclosure. Potential sanctions include disgorgement of commissions, restitution to the customer (estimated at \$43,800 in net losses), fines, a suspension or bar for Kevin, and supervisory deficiency findings against the firm. The firm's supervisory system would also be scrutinized for permitting a relatively junior advisor to sell complex structured products to a senior retail investor without enhanced review protocols, as contemplated by FINRA RN 10-09 and RN 12-03.

Hypothetical 6

[NON-COM]

Topic: structured_products_unsuitable | Difficulty: medium

Fact Pattern

In March 2022, financial advisor Derek Langston of Crestview Financial Group recommended that his client, Helen Barrows, age 71, invest \$120,000 in reverse convertible notes linked to the common stock of a mid-cap semiconductor company. Mrs. Barrows was a retired elementary school teacher with a fixed pension of \$3,200 per month and Social Security income of \$1,850 per month. Her total liquid net worth was approximately \$385,000, held primarily in a traditional IRA and a savings account. Her account opening documents indicated a conservative risk tolerance, an investment objective of capital preservation and income, a time horizon of 5-10 years, and limited investment experience confined to certificates of deposit and a single balanced mutual fund she had held since 2009. Langston told Mrs. Barrows that the reverse convertibles offered a 12.75% annualized coupon over a 6-month term and described them as 'like a CD but with a much better interest rate.' He did not explain that the notes contained an embedded short put option on the reference stock, that her principal could be converted into shares of the underlying semiconductor company if the stock declined below a knock-in barrier set at 75% of the initial price, or that her maximum gain was capped at the coupon while her downside exposure mirrored outright stock ownership below the barrier. He also did not disclose that the notes were unsecured senior obligations of the issuing bank, exposing her to issuer credit risk, or that the fair value of the notes at issuance was estimated at approximately \$952 per \$1,000 face value, reflecting embedded issuer compensation. At maturity in September 2022, the reference stock had fallen 34% from its initial level, breaching the knock-in barrier. Mrs. Barrows received \$7,650 in coupon payments but was delivered shares worth approximately \$79,200, resulting in a net loss of approximately \$33,150 on her \$120,000 investment. The \$120,000 allocation represented roughly 31% of her total liquid assets. When Mrs. Barrows called Langston to ask why she had received stock instead of her principal, he told her the market had been 'unpredictable' and suggested she hold the shares for a recovery. She subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston violated multiple regulatory standards in recommending reverse convertible notes to Helen Barrows.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. This rule encompasses three components: (1) reasonable-basis suitability, requiring the advisor to understand the product; (2) customer-specific suitability, requiring the recommendation to match the individual client's profile; and (3) quantitative suitability.

Under Regulation Best Interest (Reg BI), a broker-dealer must act in the retail customer's best interest at the time of a recommendation, satisfying the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, evaluating risks and rewards, and ensuring the recommendation is in the customer's best interest without placing the advisor's financial interest ahead of the customer's.

FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) requires just and equitable principles of trade.

****FINRA Regulatory Notices:****

FINRA Regulatory Notice 09-73 specifically addresses reverse convertibles and structured products, warning firms that these complex instruments combine a debt instrument with a derivative component (typically a short put option) and expose investors to significant downside risk. The notice emphasizes that the products are not equivalent to conventional debt instruments and must not be marketed as such.

FINRA Regulatory Notice 10-09 reiterates that firms must conduct rigorous suitability analyses for complex products, ensure that associated persons understand the products they recommend, and provide balanced disclosure of risks.

FINRA Regulatory Notice 12-03 (Complex Products) provides heightened supervisory and suitability guidance, requiring firms to consider whether customers have the financial sophistication to understand complex payoff structures and whether such products align with customers' stated objectives.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Barrows was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and dependence on fixed income. Reverse convertible notes linked to a volatile mid-cap semiconductor stock carry equity-like downside risk and are fundamentally inconsistent with conservative, capital-preservation

objectives. The 31% concentration of her liquid assets in a single structured note amplified the unsuitability.

2. **Reasonable-Basis Suitability Violation:** Langston's description of the product as 'like a CD but with a much better interest rate' demonstrates either a fundamental misunderstanding of the product or willful misrepresentation. Reverse convertibles are not principal-protected, carry embedded derivative risk, and bear issuer credit risk - none of which characterize CDs.

3. **Disclosure Failures (Reg BI Disclosure Obligation):** Langston failed to disclose the embedded short put option, the knock-in barrier mechanism, the conversion feature, the issuer credit risk, and the day-one markdown (fair value of ~\$952 vs. \$1,000 face value). These omissions prevented Mrs. Barrows from making an informed investment decision.

4. **Conflict of Interest Obligation:** The embedded issuer compensation reflected in the \$48-per-note markdown suggests meaningful compensation flowing to the advisor/firm, creating a conflict that was neither disclosed nor mitigated.

5. **FINRA Rule 2010 Violation:** Characterizing a reverse convertible as comparable to a CD constitutes a misleading representation that violates just and equitable principles of trade.

Likely Regulatory Outcome: Langston and Crestview Financial Group would likely face enforcement action. Probable sanctions include restitution of Mrs. Barrows's losses (approximately \$33,150), disgorgement of commissions earned on the transaction, a fine against the firm for supervisory failures, a suspension or bar for Langston depending on the severity of the misrepresentation, and potential additional fines under FINRA Rules 2111 and 2010. The firm's failure to implement the heightened supervisory procedures called for by RN 12-03 for complex product sales to unsophisticated retail investors would compound liability.

Hypothetical 7

Topic: *senior_investor_exploitation* | Difficulty: *medium*

Fact Pattern

Margaret Hendricks, age 79, is a retired school librarian living in Tucson, Arizona. She has a fixed monthly income of \$2,450 from Social Security and a small pension. Her total liquid savings amount to approximately \$310,000, held in a brokerage account at Southwest Capital Advisors. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her investment experience as 'limited - CDs and savings bonds only,' and her time horizon as '1 to 3 years.' Mrs. Hendricks suffers from early-stage cognitive decline, a fact her son mentioned to the advisor during an in-person meeting in January 2024.

Her advisor, Dale Furman, age 42, with 11 years of industry experience, recommended in February 2024 that Mrs. Hendricks invest \$185,000 - roughly 60% of her liquid net worth - into a basket of three reverse convertible notes linked to individual equities: \$65,000 in a 12-month reverse convertible linked to Tesla,

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Inc. (TSLA) with a 12.5% coupon and a 70% knock-in barrier; \$60,000 in a 14-month reverse convertible linked to AMD (Advanced Micro Devices) with an 11.8% coupon and a 65% knock-in barrier; and \$60,000 in an 18-month reverse convertible linked to Coinbase Global, Inc. (COIN) with a 14.2% coupon and a 60% knock-in barrier. Furman told Mrs. Hendricks these products would provide 'steady high income, like a CD but better,' and described them as 'safe short-term notes that pay you interest every month.' He did not explain that the principal was at risk if the underlying stock fell below the knock-in barrier, nor did he explain the concept of knock-in barriers, the lack of upside participation, or the issuer credit risk. He provided no written materials specific to the product payoff structures, and the trade confirmations were the only documentation she received.

Furman earned a total gross commission of approximately \$9,250 across the three transactions, which was roughly double what he would have earned placing the funds in agency bonds or Treasury securities. The branch manager approved all three trades without requesting documentation of the customer's understanding of the products.

By November 2024, Tesla shares had declined 34%, breaching the knock-in barrier on the TSLA-linked note. By January 2025, Coinbase had dropped 42%, also breaching its barrier. Upon maturity of the Tesla-linked note in February 2025, Mrs. Hendricks received physical settlement in Tesla shares worth approximately \$41,600 instead of her \$65,000 principal, representing a loss of \$23,400 before accounting for coupon payments received. She was confused and distressed, telling her son she 'didn't know she could lose money on a note.' Her son filed a written complaint with the firm in March 2025. The AMD-linked note remained above its barrier but had not yet matured.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Furman committed multiple serious violations in recommending these reverse convertible notes to Mrs. Hendricks.

****Applicable Standards and Analysis:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile. The rule encompasses three components:

- ***Reasonable-basis suitability:** The advisor must understand the product he is recommending. FINRA Regulatory Notice 10-09 specifically addresses reverse convertibles and warns that these are complex structured products combining a debt instrument with a put option - meaning the investor bears downside equity risk. The advisor must understand the knock-in barrier mechanics, issuer credit risk, and the asymmetric payoff (capped upside via coupon, full downside equity exposure). The advisor's characterization of these products as similar to CDs suggests either a fundamental misunderstanding of the product or deliberate misrepresentation.

- ***Customer-specific suitability:** Mrs. Hendricks is a 79-year-old retiree with conservative risk tolerance, limited investment experience (only CDs and savings bonds), a short time horizon, and early-stage cognitive decline. She depends on her savings for living expenses. Reverse convertibles linked to highly

volatile single-name equities (Tesla, AMD, Coinbase) are speculative instruments wholly inconsistent with her stated objectives of income and capital preservation. FINRA RN 09-73 emphasizes that complex products require heightened suitability analysis and that firms must consider whether a customer has the sophistication to understand the risks.

- ***Quantitative suitability:** Concentrating approximately 60% of the client's liquid assets in three volatile reverse convertibles creates excessive risk exposure for a conservative elderly investor.

2. ****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation, Furman was required to exercise reasonable diligence, care, and skill in making the recommendation. He was required to consider reasonably available alternatives, the costs of the transactions, and the customer's investment profile. Recommending volatile equity-linked structured notes to a cognitively declining 79-year-old with no equity experience, while safer income-producing alternatives (Treasuries, agency bonds, CDs) existed, fails the Care Obligation. The Disclosure Obligation was also violated: Furman failed to disclose the material risks, the nature of the knock-in barrier, and the conflict of interest arising from his enhanced compensation (\$9,250 vs. roughly half that amount in alternative products).

3. ****FINRA Rule 2010 (Standards of Commercial Honor):**** Describing reverse convertibles as 'safe short-term notes' akin to CDs constitutes a materially misleading characterization. This violates the ethical standards expected of associated persons.

4. ****FINRA RN 12-03 (Complex Products):**** This notice reminds firms that heightened supervision is required for complex product sales, including ensuring the customer can understand the product's features and risks. The branch manager's rubber-stamp approval without verifying the customer's comprehension constitutes a supervisory failure.

5. ****Senior Investor Protections:**** The advisor was on notice of Mrs. Hendricks' cognitive decline through her son's disclosure. Proceeding with complex structured product recommendations to an investor with known cognitive impairment, without involving a trusted contact person or escalating to compliance, raises additional concerns under senior investor protection frameworks.

****Likely Regulatory Outcome:**** Furman faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar. The firm faces supervisory failure charges for the branch manager's inadequate review. Mrs. Hendricks would likely prevail in arbitration seeking compensatory damages for the losses sustained, plus potentially the return of commissions. The firm could also face enhanced supervisory obligations going forward.

Hypothetical 8

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in Scranton, Pennsylvania. She has a pension providing \$3,200 per month, Social Security income of \$1,800 per month, and total liquid

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savings of approximately \$285,000 held in an IRA rollover account at a regional broker-dealer. Her account application lists her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her investment experience as 'limited - primarily CDs and money market funds,' and her time horizon as '5-10 years.' She told her financial advisor, Derek Fontaine, that she wanted safe investments that would supplement her pension and Social Security, and that she could not afford to lose principal because the \$285,000 was essentially her emergency fund and long-term care reserve.

In March 2023, Fontaine recommended that Mrs. Kowalski invest \$160,000 - roughly 56% of her liquid savings - into a series of three reverse convertible notes linked to individual equities. The first was a \$60,000 reverse convertible tied to Tesla Inc. with a 14-month maturity, paying a 12.5% annual coupon. The second was a \$50,000 reverse convertible linked to Coinbase Global Inc. with a 12-month maturity and an 11.8% coupon. The third was a \$50,000 reverse convertible tied to Moderna Inc. with a 13-month maturity paying an 11.2% coupon. Each note carried a knock-in barrier set at 70% of the initial reference price.

Fontaine told Mrs. Kowalski that these products were 'like CDs but with higher interest rates' and that she would 'almost certainly get her money back plus attractive income.' He did not explain that if any of the underlying stocks fell below the knock-in barrier, she could receive shares of the depreciated stock instead of her full principal. He did not discuss the creditworthiness of the issuing bank, the lack of secondary market liquidity, or the fact that her upside was capped at the coupon while her downside exposure mirrored holding the individual equities. The embedded fees across the three notes totaled approximately \$8,640, representing a roughly 5.4% upfront cost built into the pricing, in addition to the \$1,200 in commissions Fontaine earned on the transactions.

By early 2024, Tesla shares had declined 33% from the reference price, breaching the knock-in barrier. Coinbase shares fell 38%, also breaching the barrier. At maturity, Mrs. Kowalski received depreciated shares of Tesla and Coinbase instead of her principal on those two notes. Her combined loss on the three positions, net of coupons received, was approximately \$47,500 - a 16.7% loss on her total liquid savings. She subsequently filed a complaint stating she never understood the products and believed she was purchasing something similar to certificates of deposit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fontaine violated multiple regulatory standards in recommending these reverse convertible notes to Margaret Kowalski.

****Suitability under FINRA Rule 2111:**** Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, time horizon, and liquidity needs. There are three component obligations - reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Customer-Specific Suitability: Mrs. Kowalski was a 71-year-old retiree with conservative risk tolerance,

limited investment experience confined to CDs and money market funds, an objective of income and capital preservation, and the \$285,000 represented essentially all of her liquid reserves for emergencies and long-term care. Reverse convertibles are complex structured products with equity-like downside risk. Allocating 56% of her liquid savings to reverse convertibles linked to highly volatile individual equities (Tesla, Coinbase, and Moderna) was fundamentally incompatible with her stated objectives and risk tolerance. FINRA Regulatory Notice 10-09 specifically warns that reverse convertibles expose investors to significant downside risk and are generally unsuitable for investors seeking capital preservation.

Reasonable-Basis Suitability: FINRA Regulatory Notice 09-73 and 12-03 emphasize that firms and representatives must understand complex products before recommending them and must be able to explain the risks, costs, and payoff structures. Fontaine's characterization of these notes as 'like CDs but with higher interest rates' demonstrates either a fundamental misunderstanding of the product or intentional misrepresentation. Either way, reasonable-basis suitability was not satisfied.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation, Fontaine was required to exercise reasonable diligence, care, and skill in making his recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He failed this obligation by concentrating more than half of a conservative retiree's liquid assets in volatile, equity-linked structured notes. Under Reg BI's Disclosure Obligation, he was required to disclose all material facts about the recommendation, including risks and costs. He failed to explain the knock-in mechanism, the possibility of receiving depreciated stock, the issuer credit risk, the illiquidity, or the embedded fees totaling approximately \$8,640 (5.4%). The Cost component of the Care Obligation is also implicated: the total compensation of approximately \$9,840 (embedded fees plus commissions) was excessive relative to available alternatives that would have better served Mrs. Kowalski's stated objectives, such as Treasury securities, investment-grade bonds, or actual CDs.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Fontaine's misleading comparison of reverse convertibles to CDs constitutes conduct inconsistent with just and equitable principles of trade. This mischaracterization was material and deprived the customer of the ability to make an informed investment decision.

****Concentration:**** FINRA Regulatory Notice 12-03 highlights the risks of concentration in complex products. Placing 56% of a conservative retiree's liquid net worth in three reverse convertibles, each linked to a single highly volatile equity, represents an unsuitable concentration that magnified the risk.

****Likely Regulatory Outcome:**** Fontaine would likely face sanctions including fines, suspension or bar from the securities industry, and disgorgement of commissions. The firm would likely face supervisory failure charges if it did not have adequate procedures to flag and review structured product sales to elderly, conservative investors. Mrs. Kowalski would likely prevail in a FINRA arbitration claim seeking compensatory damages for her approximately \$47,500 in losses, plus potentially the embedded fees, on theories of unsuitability, misrepresentation, and failure to disclose material risks and costs.

Hypothetical 9

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Hollis, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed income consisting of a \$2,400 monthly pension and \$1,850 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held primarily in certificates of deposit and a money market account. She has no prior experience with any securities beyond a small allocation to a balanced mutual fund in her 403(b) retirement account, which she rolled over to an IRA upon retirement. Her stated investment objectives on her account opening documents are capital preservation and income generation, and her risk tolerance is marked as 'conservative.' She told her advisor, Kevin Driscoll, that she wanted something 'safe that pays a little better than the bank.'

In March 2023, Driscoll recommended that Mrs. Hollis invest \$150,000—approximately 44% of her liquid net worth—into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company, Veridian Therapeutics (ticker: VRDN). The note offered a 12.5% annual coupon, paid monthly. However, the principal repayment at maturity was contingent on the performance of VRDN stock: if VRDN shares declined by more than 25% from their initial price at any point during the note's term (a knock-in barrier), Mrs. Hollis would receive shares of VRDN stock at maturity instead of her \$150,000 in cash, meaning she could lose a substantial portion of her principal.

Driscoll's notes from the meeting state that he explained the product was 'like a CD but with a higher rate' and that 'the coupon payments would supplement her pension nicely.' He did not document any discussion of the knock-in barrier, the contingent principal risk, the credit risk of the issuing bank, or the fact that the product was linked to a single volatile biotech stock. He did not provide Mrs. Hollis with the product's offering circular prior to the sale, though one was delivered to her by mail approximately five days after the transaction settled.

During the holding period, VRDN shares fell 38% after the company reported negative Phase III clinical trial results. The knock-in barrier was breached. At maturity in May 2024, Mrs. Hollis received 4,310 shares of VRDN stock valued at approximately \$93,700 instead of her \$150,000 principal—a loss of over \$56,000 on the principal, partially offset by roughly \$21,875 in coupon payments received over the term, resulting in a net loss of approximately \$34,000. Mrs. Hollis, who did not understand what a reverse convertible was, called Driscoll's office in tears, saying she had 'no idea she could lose money on this' and that she 'never would have agreed to anything involving stocks.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on factors including age, financial situation, investment objectives, risk tolerance, investment experience, time horizon, liquidity needs, and other relevant profile information. This rule encompasses three obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the product must fit the specific customer), and (3) quantitative suitability (no excessive activity).

Regulation Best Interest (Reg BI) further heightens the standard for broker-dealers, requiring that recommendations be in the retail customer's best interest at the time of the recommendation, without placing the financial professional's interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering reasonably available alternatives.

FINRA Regulatory Notice 10-09 specifically addresses reverse convertibles, warning firms that these products carry risks that may not be readily apparent to retail investors. The notice emphasizes that reverse convertibles expose investors to significant downside equity risk despite their bond-like appearance, and that firms must ensure customers understand the contingent nature of principal repayment. FINRA Regulatory Notice 09-73 provides broader guidance on structured products, noting that their complexity demands heightened scrutiny of suitability and thorough disclosure. FINRA Regulatory Notice 12-03 further addresses complex products, requiring that firms implement enhanced suitability procedures, including ensuring the advisor understands the product and that the customer can comprehend and bear the risks.

FINRA Rule 2010 (Standards of Commercial Honor) requires adherence to high standards of commercial honor and just and equitable principles of trade.

****Analysis of Violations:****

1. ****Customer-Specific Suitability Failure:**** Mrs. Hollis is a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, no securities experience beyond a balanced mutual fund, and reliance on the invested funds as a significant portion of her liquid savings. A reverse convertible linked to a single volatile biotech stock is fundamentally inconsistent with every element of her investment profile. The product carries equity downside risk, concentration risk in one issuer, credit risk of the note issuer, and illiquidity during the term. Recommending this product to this customer plainly fails customer-specific suitability under Rule 2111 and the Care Obligation of Reg BI.

2. ****Concentration and Portfolio Risk:**** Allocating \$150,000-44% of Mrs. Hollis's liquid net worth-to a single structured note linked to one biotech stock represents a dangerous concentration that is unsuitable for any conservative investor, let alone a retiree dependent on these savings.

3. ****Disclosure and Understanding Failures:**** Driscoll's characterization of the reverse convertible as 'like a CD but with a higher rate' was materially misleading. Unlike a CD, the principal is at risk, and the product is not FDIC-insured. His failure to explain the knock-in barrier, contingent principal risk, and single-stock exposure prior to the sale violated the enhanced disclosure obligations emphasized in RN 10-09, RN 09-73, and RN 12-03. The offering circular was not provided until after the transaction settled, depriving Mrs. Hollis

of the ability to make an informed decision.

4. **Reg BI Considerations:** Driscoll's recommendation appears motivated by the higher compensation typically associated with structured product sales compared to CDs or treasury securities. Under Reg BI's conflict-of-interest obligations, Driscoll was required to disclose and mitigate such conflicts. There is no evidence he considered reasonably available alternatives-such as treasury securities, high-quality corporate bonds, or FDIC-insured CDs-that would have met Mrs. Hollis's stated objectives without exposing her to equity downside risk.

5. **Rule 2010 Violation:** Describing a reverse convertible as being 'like a CD' to a 71-year-old unsophisticated investor falls below the standards of commercial honor and just and equitable principles of trade.

Likely Regulatory Outcome:

Driscoll would likely face a FINRA enforcement action resulting in a fine, disgorgement of commissions, restitution to Mrs. Hollis for her net losses, and a potential suspension. His firm would face supervisory violations under FINRA Rules 3110 and 3120 for failing to maintain enhanced supervisory procedures for complex product sales as recommended by RN 12-03. Mrs. Hollis would have a strong claim in a FINRA arbitration proceeding for compensatory damages.

Hypothetical 10

Topic: senior_investor_exploitation | Difficulty: hard

Fact Pattern

Margaret Dalton, age 79, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from her pension and \$1,650 from Social Security. Her total liquid net worth is approximately \$410,000, held primarily in certificates of deposit and a money market account at her local bank. She has no prior experience with equities, options, or any derivative instruments. Her stated investment objectives on her new account form, completed in February 2023, are capital preservation and income generation. Her risk tolerance is marked as 'conservative.' She told her advisor, Kevin Rayburn, age 34, that her primary goal was to ensure she had enough money to cover potential assisted living costs, which she estimated could run \$6,000-\$8,000 per month, and that she 'could not afford to lose any of this money.' Margaret's late husband had handled all investment decisions, and she told Rayburn she did not understand stocks or bonds well but trusted him to 'do the right thing.' Rayburn, who worked for Pinnacle Wealth Advisors, a mid-sized independent broker-dealer, had recently attended an internal product training session on structured notes. His branch manager had emphasized that structured products carried higher commissions - typically 2.5% to 3.5% - compared to 0.25% on CDs and treasuries. Between March and June 2023, Rayburn recommended that Margaret invest \$295,000 - roughly 72% of her liquid assets - into three separate reverse convertible notes. The first, for \$100,000, was a 14-month reverse convertible linked to Tesla Inc. common stock, offering a 12.5% annual coupon with a 70% knock-in barrier. The second, for \$100,000, was a 12-month reverse convertible linked to a basket of three semiconductor stocks (NVIDIA,

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AMD, and Micron), offering an 11.8% coupon with a 65% knock-in barrier. The third, for \$95,000, was an 18-month reverse convertible linked to Coinbase Global Inc., offering a 16.2% coupon with a 60% knock-in barrier. Rayburn earned a total of \$9,735 in commissions across the three transactions. When presenting the products, Rayburn described them to Margaret as 'like CDs but with better interest rates' and showed her only the coupon payments she would receive, which he projected at approximately \$36,400 over the life of the notes. He did not explain the knock-in barrier mechanism, the possibility that she could receive shares of the underlying stocks instead of her principal at maturity, or the fact that her principal was fully at risk if the reference stocks declined below the barrier levels. He did not provide her with the offering circulars or term sheets until after she had signed the purchase agreements, and even then, he told her 'the fine print is just legal boilerplate.' Margaret signed all documents without reading them. Rayburn did not document any discussion of alternative investments such as Treasury securities, high-grade corporate bonds, fixed annuities, or FDIC-insured CDs, which at the time were yielding between 4.5% and 5.2% for comparable maturities. He also did not note any consideration of Margaret's ability to absorb losses or her stated need for capital preservation. By October 2023, Coinbase stock had fallen 42% from its reference price, breaching the 60% knock-in barrier. At maturity in September 2024, Margaret received 1,583 shares of Coinbase stock valued at approximately \$53,200 instead of her \$95,000 principal, a loss of \$41,800 on that note alone. The Tesla-linked note matured in May 2024 without breaching its barrier, and Margaret received her full \$100,000 principal plus the coupon. The semiconductor basket note was still outstanding as of the complaint date but had experienced one constituent stock (Micron) trading within 3% of its barrier level. In November 2024, Margaret's daughter, who holds a CPA license, reviewed her mother's account statements and filed a written complaint with Pinnacle Wealth Advisors, stating that the investments were entirely inappropriate for her mother and that Rayburn had misrepresented the nature of the products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Rayburn committed multiple serious violations in his recommendations to Margaret Dalton.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

***Reasonable-Basis Suitability:** Rayburn's description of reverse convertibles as 'like CDs but with better interest rates' demonstrates a fundamental failure to understand - or a willful misrepresentation of - the products he was recommending. Reverse convertibles are complex structured products that combine a debt instrument with a short put option on an underlying equity or basket. The investor bears downside equity risk in exchange for an above-market coupon. FINRA Regulatory Notice 10-09 specifically warns that reverse convertibles are not suitable substitutes for traditional fixed-income products and that firms must ensure registered representatives understand the products' risks before recommending them. FINRA Regulatory Notice 09-73 further emphasizes that complex products like structured notes require heightened scrutiny regarding whether the registered representative has an adequate understanding of the product features, risks, and costs.

Customer-Specific Suitability: Margaret's profile is the archetype of an investor for whom reverse convertibles are unsuitable. She is 79 years old, has conservative risk tolerance, stated capital preservation and income objectives, has no experience with equities or derivatives, has limited liquid assets (\$410,000), and explicitly stated she 'could not afford to lose any of this money.' Concentrating 72% of her liquid net worth in three reverse convertibles - each linked to highly volatile equities (Tesla, semiconductors, Coinbase) - directly contradicts every element of her investment profile. FINRA Regulatory Notice 12-03 on complex products specifically states that firms must consider whether a customer has the financial sophistication and ability to absorb potential losses before recommending such products.

****Regulation Best Interest (Reg BI) Analysis:****

Under Reg BI's Care Obligation (17 CFR 240.15l-1), Rayburn was required to exercise reasonable diligence, care, and skill in making recommendations and to consider reasonably available alternatives. At the time of the recommendations, FDIC-insured CDs and Treasury securities were yielding 4.5%-5.2%, which would have provided Margaret with meaningful income (\$18,450-\$21,320 annually on \$410,000) without any principal risk. Rayburn's failure to even document consideration of these alternatives is a clear violation. The Disclosure Obligation under Reg BI also required Rayburn to disclose the material facts about the recommendations, including all risks and conflicts of interest such as the significantly higher commissions he earned.

****Misrepresentation and Fair Dealing (FINRA Rule 2010):****

Rayburn's characterization of reverse convertibles as 'like CDs but with better interest rates' constitutes a material misrepresentation. CDs are FDIC-insured, principal-protected instruments. Reverse convertibles carry full downside equity risk below the barrier and are unsecured obligations of the issuer. Describing the offering circular as 'legal boilerplate' further compounded the misrepresentation and deprived Margaret of the opportunity to understand the products' risks. This violates FINRA Rule 2010's requirement for high standards of commercial honor and just and equitable principles of trade.

****Senior Investor Considerations:****

FINRA has repeatedly emphasized heightened obligations when dealing with senior investors, particularly regarding complex products. Margaret's age (79), cognitive vulnerability (reliance on a deceased spouse for all prior financial decisions, explicit trust in the advisor), limited income, and dependence on her savings for potential assisted living expenses all warranted extreme caution. The concentration of 72% of her liquid assets in volatile structured products was reckless.

****Supervisory Failures:****

Pinnacle Wealth Advisors may also face liability under FINRA Rules 3110 and 3120 for failing to supervise Rayburn's recommendations. The branch manager's emphasis on higher commissions from structured products, without corresponding emphasis on suitability obligations, suggests a culture that prioritized revenue over client welfare.

****Likely Regulatory Outcome:****

Rayburn faces potential sanctions including suspension or bar from the industry, fines, and disgorgement of commissions (\$9,735). Margaret would likely recover her losses (at minimum the \$41,800 realized loss on

the Coinbase note, plus any losses on the semiconductor note) through FINRA arbitration. Pinnacle Wealth Advisors faces potential fines and supervisory violation charges. The fact that one of the three notes matured without loss does not cure the suitability violation, as the analysis is conducted at the time of recommendation, not based on outcome.

Hypothetical 11

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Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

Margaret Holloway, age 74, is a retired elementary school teacher living in Tallahassee, Florida. She receives \$2,800 per month in pension income and \$1,950 per month in Social Security. Her total liquid savings amount to approximately \$410,000, held in a brokerage account and a money market fund. She has no other significant assets aside from her home, which is paid off and valued at \$185,000. Mrs. Holloway has always invested conservatively, holding certificates of deposit and Treasury bonds for most of her life. She opened a brokerage account in March 2022 with advisor Kevin Brashear at a regional broker-dealer after her previous advisor retired. During the new account opening process, Brashear spent approximately 20 minutes with Mrs. Holloway. He recorded her investment objective as 'income' and her risk tolerance as 'moderate' on the new account form. He did not ask about her familiarity with structured products, her investment time horizon, her liquidity needs, or her prior experience with any securities beyond CDs and Treasuries. He did not document her tax situation or her estate planning goals. In April 2022, Brashear recommended that Mrs. Holloway invest \$175,000 - roughly 43% of her liquid savings - into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company. The note offered a 12.5% annualized coupon. Brashear told Mrs. Holloway it was 'like a CD but with a better interest rate' and described the coupon payments as 'guaranteed income.' He did not explain that the note's principal repayment was contingent on the performance of the underlying biotech stock, that she could receive shares of the stock instead of her principal if the stock declined below a 70% barrier, or that her maximum gain was capped at the coupon while her downside exposure was essentially equivalent to owning the volatile underlying equity. He did not provide her with the pricing supplement or the product's risk disclosure document. He did not discuss the credit risk of the issuing bank. By the note's maturity in June 2023, the underlying biotech stock had fallen 48% after a failed clinical trial. Mrs. Holloway received shares of the biotech company worth approximately \$91,000 instead of her \$175,000 principal, resulting in a loss of approximately \$84,000 before accounting for the roughly \$21,875 in coupon payments she received. Her net loss was approximately \$62,125, representing over 15% of her total liquid net worth. When she called Brashear in distress, he told her she should hold the shares and wait for them to recover. She subsequently filed a complaint with the broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brashear committed multiple serious violations. First, he failed to satisfy his know-your-customer obligation under FINRA Rule 2111(a), which requires a broker to use reasonable diligence to know the essential facts about a customer, including their financial situation, investment

experience, risk tolerance, time horizon, liquidity needs, and other relevant profile information before making any recommendation. Brashear spent only 20 minutes with Mrs. Holloway, failed to inquire about her familiarity with structured products, did not explore her liquidity needs (critical for a 74-year-old retiree dependent on fixed income), and did not document her tax situation or investment time horizon. The cursory account opening process is precisely the type of deficiency highlighted in FINRA Regulatory Notices 09-73 and 12-03, which emphasize that complex products such as reverse convertibles require heightened scrutiny of customer profiles and enhanced suitability analysis.

Second, the recommendation itself was unsuitable under both FINRA Rule 2111's reasonable-basis, customer-specific, and quantitative suitability components, as well as Regulation Best Interest. A reverse convertible linked to a single volatile biotech stock is an aggressive, complex instrument with equity-like downside risk. FINRA Regulatory Notice 10-09 specifically warns that reverse convertibles expose investors to principal loss tied to the performance of an underlying asset and that they are not equivalent to conventional fixed-income products. Recommending that a 74-year-old conservative retiree allocate 43% of her liquid savings to such a product is a clear customer-specific suitability failure. The product's risk-return profile - capped upside with uncapped downside - was fundamentally inconsistent with her income objective and conservative history.

Third, Brashear's characterization of the reverse convertible as 'like a CD but with a better interest rate' and his description of the coupon as 'guaranteed income' were materially misleading. Unlike a CD, the principal of a reverse convertible is at risk, and the investor bears the credit risk of the issuer as well as the market risk of the underlying equity. This misrepresentation violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and Regulation BI's disclosure obligation, which requires full and fair disclosure of all material facts, including risks and conflicts of interest.

Fourth, Brashear failed to provide Mrs. Holloway with the pricing supplement or risk disclosure documents, depriving her of the opportunity to understand the product's payoff structure, barrier levels, and risk factors. FINRA RN 12-03 emphasizes that firms and their representatives must ensure customers understand complex products before investing.

The likely regulatory outcome would include findings of unsuitable recommendation, failure to know the customer, and misrepresentation. Brashear could face disgorgement of commissions, restitution to Mrs. Holloway for her losses, fines, a suspension or bar, and the firm could face supervisory failure charges if it did not have adequate procedures to review structured product sales to elderly, conservative retail customers. In arbitration, Mrs. Holloway would have strong grounds for a full recovery of her net losses plus interest, costs, and potentially punitive damages given the egregiousness of the misrepresentation.

Hypothetical 12

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Holloway, age 79, is a retired elementary school teacher living in Dayton, Ohio. She has a fixed

[NON-COM

annual income of \$34,000 from her pension and Social Security. Her total liquid net worth is approximately \$285,000, held primarily in a money market account and a small portfolio of Treasury bonds. She has no prior experience with equities, options, or any derivative-linked instruments. Her stated investment objectives on her new account form are capital preservation and income generation, and her risk tolerance is marked as conservative. In February 2023, her financial advisor, Derek Simmons, at a regional broker-dealer, recommended that Mrs. Holloway invest \$175,000-roughly 61% of her liquid assets-into a series of three reverse convertible notes. The first was a 12-month reverse convertible linked to Tesla Inc. common stock with a 14.5% annual coupon and a 70% knock-in barrier, with a face value of \$75,000. The second was a 9-month reverse convertible linked to a basket of three biotechnology stocks (Moderna, BioNTech, and Novavax) with a 17.2% coupon and a 65% barrier, face value \$50,000. The third was a 14-month reverse convertible tied to Coinbase Global Inc. with a 19.8% coupon and a 60% barrier, face value \$50,000. Simmons earned a total of approximately \$7,800 in commissions across the three transactions. During the recommendation process, Simmons told Mrs. Holloway that the products were 'like CDs but with better interest rates' and that 'the coupon payments are guaranteed regardless of what happens in the stock market.' He did not explain that she could lose a substantial portion of her principal if the underlying stocks declined below the knock-in barriers, nor did he explain the concept of being 'put' shares of the underlying equities at maturity. He did not provide any written materials describing the payoff structure. Mrs. Holloway signed the purchase documents believing she was buying fixed-income instruments with enhanced yields. By January 2024, Tesla stock had declined 31% from the initial reference price, triggering the knock-in on the first note, and the Coinbase-linked note's underlying had fallen 44%, also breaching its barrier. At maturity, Mrs. Holloway received shares of Tesla worth approximately \$51,750 instead of her \$75,000 principal on the first note, and shares of Coinbase worth approximately \$28,000 instead of \$50,000 on the third note. In total, she lost approximately \$45,250 in principal across the two notes, partially offset by coupon payments of roughly \$22,600 received across all three notes, resulting in a net loss of approximately \$22,650. Mrs. Holloway filed a complaint stating she never understood she could lose her principal investment and believed she was purchasing safe, income-producing instruments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple regulatory standards in recommending these reverse convertible notes to Margaret Holloway.

****Applicable Standards and Analysis:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, risk tolerance, investment objectives, investment experience, and other factors. There are three components-reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

- ****Customer-Specific Suitability:**** Mrs. Holloway is a 79-year-old retiree with conservative risk tolerance, capital preservation and income objectives, no experience with complex instruments, limited liquid assets

(\$285,000), and dependence on fixed income. Reverse convertibles are complex structured products that embed a short put option sold by the investor to the issuer. They expose the holder to significant downside equity risk and are fundamentally unsuitable for a conservative, elderly investor seeking capital preservation. Allocating 61% of her liquid net worth to three highly volatile underlying references (Tesla, a biotech basket, and Coinbase) created catastrophic concentration risk entirely inconsistent with her profile.

- **Reasonable-Basis Suitability:** FINRA Regulatory Notice 09-73 specifically warns that reverse convertibles involve risks that may not be obvious to retail investors, and that firms must ensure representatives understand the products' features and risks before recommending them. FINRA Regulatory Notice 10-09 further emphasizes that complex products such as reverse convertibles require heightened suitability scrutiny, including an assessment of whether the customer can understand the product's payoff structure. FINRA Regulatory Notice 12-03 reinforces that firms should consider implementing heightened supervision for complex products and should consider whether a less complex alternative could achieve the customer's objectives.

2. **Regulation Best Interest (Reg BI):** Under the SEC's Regulation Best Interest, applicable to broker-dealer recommendations to retail customers, Simmons was required to act in Mrs. Holloway's best interest at the time of the recommendation. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the product and having a reasonable basis to believe the recommendation is in the customer's best interest. Recommending volatile equity-linked derivatives to a 79-year-old conservative investor for the majority of her liquid net worth plainly fails this standard. The Disclosure Obligation required Simmons to disclose all material facts, including the risk of principal loss and the embedded put structure-which he affirmatively misrepresented as being 'like CDs.'

3. **FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):** Simmons's mischaracterization of the products as similar to CDs with guaranteed returns, and his failure to explain the knock-in barrier mechanism and principal-at-risk nature, constitutes a material misrepresentation and omission. This violates just and equitable principles of trade.

Specific Violations:

- Recommending products with embedded equity downside risk to a conservative, elderly investor with no equity or derivatives experience.
- Concentrating 61% of the client's liquid assets in complex structured products linked to highly volatile underlyings.
- Materially misrepresenting the products as similar to CDs and failing to disclose the knock-in barrier risk and potential for principal loss.
- Failing to provide written offering materials or ensure the client understood the payoff structure.
- Earning \$7,800 in commissions suggests potential conflicts that were not disclosed or mitigated.

Likely Regulatory Outcome: Simmons would likely face a FINRA enforcement action resulting in disgorgement of commissions, restitution to the customer, a fine, and a suspension or bar from the industry. The firm could face supervisory failure charges under FINRA Rules 3110 and 3120 if it lacked adequate procedures for reviewing structured product recommendations to senior investors. Mrs. Holloway's

arbitration claim would likely succeed given the clear unsuitability, misrepresentations, and concentration of her assets in instruments entirely at odds with her stated objectives.

Hypothetical 13

Topic: *inappropriate_risk_profile* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Margaret Tillman, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security combined. Her total liquid net worth is approximately \$285,000, held primarily in a money market account and a laddered CD portfolio at her local bank. She has no prior experience with equities, options, or any derivative-linked investments. In March 2023, Margaret visited the branch office of her brokerage firm to inquire about alternatives to her maturing CDs, which were yielding approximately 4.5%. She told her advisor, Kevin Driscoll, that she could not afford to lose any of her savings and that her primary objective was capital preservation with modest income generation. Kevin recommended that Margaret invest \$180,000-roughly 63% of her liquid assets-into a basket of three reverse convertible notes linked to individual technology stocks: one linked to Tesla, Inc., one linked to Advanced Micro Devices, Inc., and one linked to Nvidia Corporation. Each note had a 12-month term, offered a coupon of 11.5% per annum paid monthly, and included a knock-in barrier set at 70% of the initial stock price. Kevin explained to Margaret that the notes would pay her 'a much higher interest rate than CDs' and described them as 'income products similar to bonds.' He did not explain that if any of the underlying stocks declined below the 70% barrier at any point during the term, she could receive shares of the depreciated stock at maturity instead of her principal, potentially resulting in significant losses. He did not discuss the lack of meaningful upside participation, the issuer credit risk, the illiquidity of the notes on the secondary market, or the fact that the high coupon was compensation for bearing substantial downside equity risk. Margaret signed the account documents, which listed her risk tolerance as 'moderate growth'-a designation she later said Kevin had selected without discussing it with her. Her prior account records at the firm consistently reflected a 'conservative' risk profile. By March 2024, Tesla shares had declined approximately 38% from the reference price, breaching the knock-in barrier. At maturity, Margaret received Tesla shares worth approximately \$37,200 in lieu of her \$60,000 principal on that note, resulting in a loss of \$22,800 on that single position. The other two notes matured above their barriers, returning principal plus coupons. In total, Margaret earned approximately \$20,700 in coupon income across the three notes but suffered the \$22,800 principal loss, netting a loss of roughly \$2,100 before taxes-on an investment she believed carried no risk to her principal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated applicable suitability and best interest standards in multiple respects.

1. ****Customer-Specific Suitability (FINRA Rule 2111.05(a)):** Margaret's documented investment profile-age 71, retired, fixed income of \$38,000, conservative risk tolerance, capital preservation objective, and zero experience with equities or derivatives-was fundamentally inconsistent with an allocation of 63%

of her liquid net worth to reverse convertible notes linked to volatile individual technology stocks. Reverse convertibles expose the investor to full downside equity risk below the knock-in barrier while capping upside to the coupon. This payoff structure is antithetical to a capital preservation objective. Under FINRA Rule 2111, an advisor must have a reasonable basis to believe a recommendation is suitable for the particular customer based on that customer's investment profile.

2. **Reasonable-Basis Suitability:** Even apart from Margaret's profile, Kevin was required under FINRA Rule 2111 to understand the product well enough to evaluate its risks and features. Describing reverse convertibles as 'income products similar to bonds' demonstrates either a fundamental misunderstanding of the product or a deliberate mischaracterization. FINRA Regulatory Notice 10-09 specifically warns that reverse convertibles are complex products combining a debt instrument with a put option written by the investor, and that the high coupon compensates for substantial risk of principal loss.

3. **Concentration Suitability:** Allocating \$180,000 (63% of liquid assets) to three reverse convertibles-all linked to individual high-volatility technology stocks-created excessive concentration risk for a conservative retiree. FINRA Regulatory Notice 12-03 emphasizes that firms must apply heightened supervisory and compliance procedures to complex products, particularly when sold to retail investors who may not understand the payoff structures.

4. **Regulation Best Interest (Reg BI):** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must act in the retail customer's best interest at the time of the recommendation, which includes satisfying the Care Obligation (understanding the product, evaluating risks, and having a reasonable basis for recommending it to the specific customer) and the Disclosure Obligation (providing full and fair disclosure of material facts, including risks and conflicts). Kevin failed both obligations: he did not disclose the knock-in put risk, issuer credit risk, or illiquidity, and the recommendation was not in Margaret's best interest given her profile.

5. **Risk Profile Manipulation (FINRA Rule 2010):** Changing Margaret's risk tolerance designation from 'conservative' to 'moderate growth' without her knowledge or a meaningful discussion violates FINRA Rule 2010's requirement for just and equitable principles of trade. This practice-sometimes called 'profile gaming'-is specifically flagged by FINRA as a red flag for unsuitable sales.

6. **Heightened Supervision Failures (FINRA RN 12-03 and RN 09-73):** The firm's supervisory system should have flagged the sale of three reverse convertibles to a 71-year-old conservative retiree with no equity experience. FINRA Regulatory Notice 09-73 and 12-03 both call for enhanced suitability review, post-sale surveillance, and training when complex structured products are recommended to retail customers.

Likely Regulatory Outcome: Kevin faces potential enforcement action for unsuitable recommendations, failure to disclose material risks, and possible falsification of customer records. Potential sanctions include disgorgement of commissions, restitution to Margaret for her losses, fines, and a suspension or bar. The firm faces potential supervisory failure charges if it did not implement the heightened supervisory procedures called for by FINRA guidance on complex products.

Hypothetical 14*Topic: high_fees_unsuitable | Difficulty: medium*

Fact Pattern

Gerald Patterson, age 71, is a retired postal worker living in Columbus, Ohio, with an annual pension income of \$38,000 and total liquid savings of approximately \$215,000, most of which was held in a traditional IRA at a regional broker-dealer. Gerald described his investment objectives as income generation and capital preservation, and on his new account form his risk tolerance was marked as 'conservative.' He had no prior experience with structured products, options, or derivatives of any kind, and his formal education ended with a high school diploma. In March 2022, his financial advisor, Daniel Reeves, recommended that Gerald invest \$140,000—roughly 65% of his liquid retirement savings—into a series of three reverse convertible notes linked to individual technology stocks: one linked to shares of a mid-cap semiconductor company, another to a cloud computing firm that had recently gone public, and a third to a social media company whose stock had declined 30% over the prior year. Each note had a 14-month maturity, offered a stated coupon of 11.5% to 13.2%, and carried embedded fees totaling approximately 3.8% to 4.5% of the notional amount, which were not clearly broken out on the trade confirmations Gerald received. Daniel explained the products to Gerald primarily by emphasizing the 'above-market interest rates' and describing them as 'like CDs but with better returns,' without meaningfully explaining the knock-in barrier feature, the possibility that Gerald could receive depreciated shares of the underlying stock instead of his principal at maturity, or the fact that the coupon payments did not compensate for the downside equity risk Gerald was assuming. Daniel did not provide Gerald with the offering documents or prospectus supplements before executing the trades, and Gerald later stated in a written complaint that he believed the notes were principal-protected. By May 2023, two of the three underlying stocks had fallen below their knock-in barriers—the semiconductor stock declined 42% and the social media stock declined 55%—resulting in Gerald receiving shares worth approximately \$58,000 and \$41,000 respectively instead of his original \$46,000 and \$47,000 invested in those notes, representing combined losses of approximately \$34,000 on those two positions alone. Including the embedded fees across all three notes, Gerald's total cost drag was approximately \$5,800. Gerald filed a complaint with his broker-dealer in July 2023, stating he never understood the products could lose principal and that the fees were never disclosed to him in a way he could understand.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Reeves violated multiple regulatory requirements. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and experience. Gerald was a 71-year-old conservative retiree with no structured product experience, modest savings, and stated objectives of income generation and capital preservation. Reverse convertibles are complex products that expose investors to significant downside equity risk in exchange for above-market coupon payments, and they are generally unsuitable for conservative, elderly investors seeking capital preservation. FINRA Regulatory Notice 09-73 specifically warns firms about reverse convertibles, emphasizing that the high stated yields can mask significant risks

and that firms must ensure customers understand they are effectively selling a put option on the underlying stock. FINRA Regulatory Notice 10-09 further addresses complex products and requires that firms conduct a reasonable-basis suitability analysis—assessing whether any customer should be recommended the product—as well as customer-specific suitability analysis. Daniel failed both prongs: the products were inappropriate for Gerald's profile, and Daniel did not ensure Gerald understood the payoff structure, instead affirmatively misleading him by comparing the notes to CDs.

Under Regulation Best Interest (Reg BI), broker-dealers and their associated persons owe a duty to act in the retail customer's best interest at the time a recommendation is made, encompassing the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation. Daniel failed the Care Obligation by recommending a concentration of 65% of Gerald's liquid retirement assets in high-risk structured notes linked to volatile individual technology stocks. He failed the Disclosure Obligation by not clearly explaining the embedded fees (totaling approximately \$5,800) or the material risks of the products, and by not providing offering documents. His characterization of reverse convertibles as 'like CDs' was materially misleading.

FINRA Regulatory Notice 12-03 reinforces heightened obligations when recommending complex products, including ensuring the advisor understands the product and can explain its features, risks, and costs to the customer. Daniel's failure to explain the knock-in barrier, the possibility of receiving depreciated stock, and the asymmetric risk profile (capped upside via coupon, uncapped downside via equity exposure) demonstrates a failure to meet this standard.

Additionally, the misleading comparison to CDs and the failure to deliver offering documents likely violate FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), which requires brokers to observe high standards of commercial honor and just and equitable principles of trade.

The likely regulatory outcome would include findings of suitability violations and Reg BI violations, potential disgorgement of commissions and embedded fees earned on the transactions, restitution to Gerald for his losses, a fine against the advisor and potentially the firm for supervisory failures, and a suspension or bar for Daniel Reeves depending on his disciplinary history.

Hypothetical 15

Topic: inappropriate_risk_profile | Difficulty: medium

Fact Pattern

In March 2022, Gerald Whitfield, a registered representative at a mid-sized broker-dealer in Tampa, Florida, recommended that his client, Dorothy Menendez, age 74, invest \$185,000 in a series of reverse convertible notes linked to a basket of three biotechnology stocks. Mrs. Menendez was a retired school librarian with an annual pension income of \$42,000, total liquid savings of approximately \$310,000 (representing her life savings and late husband's death benefit), and no prior experience with structured products, options, or equities beyond a small mutual fund position. Her account documents listed her risk tolerance as 'moderate' and her investment objectives as 'income and preservation of capital.' She told Whitfield during their

[NON-COMPLIANT]

meeting that she wanted something 'safe, like a CD, but with a little better return.' Whitfield presented the reverse convertibles as 'enhanced income notes that pay a generous 11.5% annual coupon,' emphasizing the monthly income payments. He did not explain the knock-in barrier feature set at 70% of the initial stock prices, nor did he describe the possibility that she could receive shares of a depreciated biotech stock instead of her principal at maturity. He did not discuss the issuer's credit risk, the lack of principal protection, or the fact that her maximum upside was capped at the coupon while her downside exposure was equivalent to owning the worst-performing stock in the basket. The product term sheets, totaling 97 pages of dense disclosure, were handed to Mrs. Menendez at the point of sale and she signed an acknowledgment form. Within eight months, one of the underlying biotech stocks fell 48% after a failed FDA trial, breaching the knock-in barrier. At maturity in March 2023, Mrs. Menendez received shares of the depreciated stock worth approximately \$107,000 instead of her \$185,000 principal, resulting in a net loss of roughly \$78,000 even after accounting for the coupon payments she had received totaling approximately \$21,275. Her total loss was approximately \$56,725. She filed a complaint stating she never understood she could lose her principal and believed the product was similar to a certificate of deposit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Gerald Whitfield violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer discloses.
2. ****Regulation Best Interest (Reg BI):**** Under the SEC's Regulation Best Interest, a broker-dealer must act in the retail customer's best interest at the time of a recommendation without placing its own financial interest ahead of the customer's. The Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of all material facts relating to the recommendation, including risks and conflicts of interest.
3. ****FINRA Rule 2010 (Standards of Commercial Honor):**** Requires adherence to high standards of commercial honor and just and equitable principles of trade.
4. ****FINRA Regulatory Notice 10-09:**** This notice specifically addresses reverse convertibles and reminds firms that these products involve complex risk/return profiles, including the risk of significant principal loss. It emphasizes that firms must ensure customers understand that reverse convertibles are not equivalent to conventional debt instruments, and that suitability analysis must account for the embedded put option sold by the investor to the issuer.

5. **FINRA Regulatory Notice 09-73:** Addresses non-traditional products and reminds firms to perform reasonable-basis, customer-specific, and quantitative suitability analyses, and to ensure adequate training and supervision for complex products.

6. **FINRA Regulatory Notice 12-03:** Addresses heightened supervision requirements for complex products and emphasizes that firms must ensure the associated persons recommending such products understand their features, risks, and costs, and that suitable investors are identified.

Analysis:

- **Customer-Specific Suitability Failure:** Mrs. Menendez was a 74-year-old retiree with modest fixed income, limited liquid savings constituting her entire financial safety net, no experience with structured products or equities, a moderate risk tolerance, and stated objectives of income and capital preservation. Reverse convertibles linked to volatile biotech stocks are unsuitable for such a profile because they expose the investor to equity-like downside risk (equivalent to writing a put option) while capping the upside at the coupon. The concentration of \$185,000 (approximately 60% of her liquid assets) in these products dramatically amplified the risk.

- **Reasonable-Basis Suitability Failure:** Even setting aside this specific customer, a reasonable advisor would recognize that reverse convertibles linked to a basket of biotechnology stocks-among the most volatile equity sectors-carry substantial risk of principal loss. The 70% knock-in barrier on highly volatile underlyings provided limited protection.

- **Disclosure and Care Failures:** Whitfield failed to explain the knock-in barrier mechanism, the possibility of receiving depreciated stock at maturity, the issuer credit risk, or the asymmetric risk/return profile. Handing the customer a 97-page term sheet at the point of sale without meaningful explanation does not satisfy disclosure obligations. Mrs. Menendez's belief that the product was CD-like demonstrates a fundamental misunderstanding that Whitfield either created or failed to correct.

- **Misleading Characterization:** Describing reverse convertibles as 'enhanced income notes' without adequate risk disclosure amounts to a misleading characterization under FINRA Rule 2010.

Likely Regulatory Outcome: Whitfield and his firm face potential liability for unsuitable recommendations, failure to act in the customer's best interest, and inadequate disclosure. Likely outcomes include arbitration awards or regulatory sanctions including disgorgement of commissions, restitution to the customer, fines, suspension or bar from the industry, and potential supervisory deficiency findings against the firm for inadequate training and supervision regarding complex structured products.

Hypothetical 16

Topic: high_fees_unsuitable | Difficulty: medium

Fact Pattern

[NON-COM]

Gerald Hutchins, age 71, is a retired postal worker living in Tallahassee, Florida. He receives \$2,400 per month in pension income and \$1,800 per month in Social Security. His total liquid savings amount to approximately \$285,000, held in a brokerage account that he opened in 2016. His account application lists his risk tolerance as 'conservative,' his investment objectives as 'income and preservation of capital,' his annual income as \$50,400, and his investment experience as limited to certificates of deposit and money market funds. Gerald has a high school education and no prior experience with structured products or derivatives.

In March 2023, his financial advisor, Craig Bellamy, recommended that Gerald invest \$140,000 - approximately 49% of his liquid savings - into a series of three reverse convertible notes linked to individual technology stocks: one tied to shares of a mid-cap semiconductor company, one tied to a cloud computing firm, and one tied to a social media company. Each note had a 14-month maturity, offered a stated coupon of 11.5% to 13.2%, and included a knock-in barrier set at 70% of the initial stock price. The embedded fees and commissions across the three notes totaled approximately \$8,400, representing an effective cost of roughly 6% of the invested principal. Craig's firm received an additional selling concession of 2% from the issuing bank, which was disclosed in the prospectus supplement but was never verbally explained to Gerald.

Craig pitched the notes to Gerald by emphasizing the 'high monthly income' the coupons would provide and described them as 'like a CD but with a better rate.' He did not explain the downside risk that Gerald could receive depreciated shares of the underlying stocks instead of his principal if any stock fell below the 70% barrier. He did not provide Gerald with the prospectus supplement or any written materials describing the payoff structure. Gerald signed the purchase documents, believing he was buying a fixed-income product with guaranteed return of principal.

By January 2024, the semiconductor stock had declined 38% from its reference price, breaching the knock-in barrier. At maturity in May 2024, Gerald received shares of the semiconductor company worth approximately \$86,800 instead of his \$46,667 principal on that note, resulting in a loss of approximately \$13,200 on that tranche alone (after accounting for coupons received). On the other two notes, the barriers were not breached and Gerald received his principal plus coupons, but after subtracting the \$8,400 in total fees, his net gain across all three positions over 14 months was approximately negative \$4,900. Gerald filed a complaint stating he never understood he could lose principal and believed he was purchasing safe, income-generating instruments similar to bank CDs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Bellamy violated multiple regulatory standards in recommending these reverse convertible notes to Gerald Hutchins.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a financial advisor have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon.

- **Reasonable-Basis Suitability:** Reverse convertible notes are complex structured products that combine a debt instrument with an embedded put option sold by the investor to the issuer. As highlighted in FINRA Regulatory Notice 10-09 and RN 09-73, firms and representatives must understand the features, risks, and costs of complex products before recommending them. Craig's description of the notes as 'like a CD but with a better rate' demonstrates either a fundamental misunderstanding of the product or a deliberately misleading characterization, either of which fails reasonable-basis suitability.

- **Customer-Specific Suitability:** Gerald is a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience (CDs and money markets only), modest fixed income, and no experience with structured products or equity-linked instruments. Reverse convertibles linked to volatile individual technology stocks are high-risk, equity-linked instruments wholly inconsistent with his stated profile. Concentrating 49% of his liquid net worth in three such notes vastly exceeds any reasonable allocation for a conservative retiree.

- **Quantitative Suitability:** The total embedded costs of approximately 6% plus the additional 2% selling concession (8% total cost to the customer) are excessive for a 14-month investment, particularly for a conservative income-seeking retiree. FINRA RN 12-03 specifically warns about high costs embedded in structured products and the obligation to consider whether such costs render a recommendation unsuitable.

Regulation Best Interest (Reg BI):

Under Reg BI's Care Obligation, Craig was required to exercise reasonable diligence, care, and skill in making this recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He failed to consider reasonably available alternatives (such as investment-grade bonds, Treasury securities, or high-yield savings accounts) that would have been far more consistent with Gerald's objectives. The Disclosure Obligation required that he provide full and fair disclosure of material facts, including the risk of principal loss, the knock-in barrier mechanism, and all costs and conflicts of interest. His failure to provide the prospectus supplement, explain the put option risk, or disclose the selling concession violated these obligations.

FINRA Rule 2010 (Standards of Commercial Honor):

Describing a reverse convertible note as being 'like a CD but with a better rate' is materially misleading. CDs are FDIC-insured and guarantee return of principal; reverse convertibles carry significant equity market risk and no principal protection. This misrepresentation violates the just and equitable principles of trade under FINRA Rule 2010.

FINRA Regulatory Notices 09-73 and 10-09:

These notices specifically address the heightened obligations associated with recommending complex products, including reverse convertibles. They require that advisors ensure customers understand the product's payoff structure, perform enhanced due diligence, and provide clear risk disclosures. Craig's failure to explain the barrier mechanism, downside conversion to shares, and the overall payoff structure contravenes these guidance standards.

Likely Regulatory Outcome:

Craig Bellamy and his firm face potential enforcement action including monetary fines, disgorgement of commissions, customer restitution, suspension, and potential bar from the industry. In arbitration, Gerald would likely recover his net losses plus the excessive fees, and possibly damages for the unsuitable concentration of his retirement savings in high-risk structured products.

Hypothetical 17

[NON-COM]

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Delacroix, age 71, is a retired elementary school teacher living in Baton Rouge, Louisiana. She has a fixed annual income of \$38,000 from her state pension and Social Security. Her total liquid savings amount to approximately \$310,000, held primarily in a money market account and a small bond mutual fund. She has no prior experience with any investment beyond certificates of deposit and her pension fund. Her risk tolerance, as documented on her new account form completed in March 2022, was marked as 'conservative,' and her stated investment objectives were 'income' and 'preservation of capital.' She told her financial advisor, Kevin Hartwell, that she wanted her money to last through retirement and could not afford to lose principal.

In April 2022, Hartwell recommended that Mrs. Delacroix invest \$175,000—more than 56% of her liquid savings—into a series of three reverse convertible notes linked to the common stock of a mid-cap biotechnology company. Each note had a 14-month maturity, offered a stated coupon of 11.5% per annum, and included a knock-in barrier set at 70% of the reference stock's initial price. Hartwell described the investment to Mrs. Delacroix as 'like a CD but with a much higher interest rate,' and told her the coupon payments would supplement her pension income nicely. He did not explain that the notes were unsecured obligations of the issuing bank, that she bore full downside equity risk below the barrier, or that her principal could be converted into shares of the biotechnology stock if the barrier was breached. He did not provide or discuss the pricing supplement or any written materials describing the knock-in feature, the maximum return cap, or the lack of principal protection.

The embedded sales concession on each note was 2.75%, generating a total commission to Hartwell of approximately \$4,812. No alternative income-producing investments—such as Treasury bonds, agency securities, or investment-grade corporate bond funds—were discussed or documented.

By June 2023, when the notes matured, the reference biotechnology stock had fallen approximately 42% from its initial price, well below the 70% knock-in barrier. Mrs. Delacroix received her coupon payments totaling roughly \$18,500 but had her principal converted into shares then worth approximately \$101,500, resulting in a net loss of roughly \$55,000 on a \$175,000 investment. She contacted the firm's branch manager in July 2023, stating she never understood she could lose principal and believed she was purchasing a product similar to a bank CD.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Hartwell likely violated multiple regulatory standards in recommending the reverse convertible notes to Mrs. Delacroix.

1. **FINRA Rule 2111 (Suitability):** This rule requires that a financial advisor have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, risk tolerance, investment objectives, investment experience, and other relevant factors. Rule 2111 encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

- **Customer-Specific Suitability:** Mrs. Delacroix was a 71-year-old retiree with conservative risk tolerance, limited income, no experience with complex products, and stated objectives of income generation and capital preservation. Reverse convertibles linked to a single mid-cap biotech stock are among the riskiest structured products available to retail investors—they expose the holder to the full downside of equity risk while capping upside returns. Concentrating over 56% of her liquid savings in such instruments was fundamentally misaligned with her profile.

- **Reasonable-Basis Suitability:** There is no indication Hartwell understood the product's risk characteristics well enough to recommend it to any investor. FINRA Regulatory Notice 09-73 specifically warns that structured products such as reverse convertibles carry risks that may not be immediately apparent, including credit risk of the issuer, market risk of the reference asset, and liquidity risk. FINRA Regulatory Notice 10-09 further highlights the complexity of reverse convertibles and the obligation of firms and representatives to ensure these products are only recommended to investors who understand and can bear the risks.

2. **Regulation Best Interest (Reg BI):** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must act in the best interest of a retail customer when making a recommendation, and must not place their own financial interest ahead of the customer's interest. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires full and fair disclosure of all material facts relating to conflicts of interest. Hartwell's failure to explain the knock-in barrier, the conversion feature, the unsecured nature of the notes, and the distinction from a CD constitutes a clear violation of the disclosure requirements. The \$4,812 commission created a material conflict that was neither disclosed nor mitigated.

3. **FINRA Rule 2010 (Standards of Commercial Honor):** Describing a reverse convertible—a product with embedded short put option risk—as being 'like a CD but with a much higher interest rate' constitutes a materially misleading characterization. CDs are FDIC-insured instruments with no principal risk. This misrepresentation violates the standards of commercial honor and just and equitable principles of trade.

4. **FINRA Regulatory Notices 09-73, 10-09, and 12-03:** These notices collectively emphasize that firms must (a) conduct robust due diligence on structured products before offering them, (b) train registered representatives to understand the products' features and risks, (c) ensure that product-specific suitability determinations are made for each customer, (d) provide clear and balanced disclosure of both risks and

potential rewards, and (e) supervise the sale of complex products with heightened scrutiny. Hartwell's conduct-failing to discuss alternatives, failing to provide the pricing supplement, mischaracterizing the product, and concentrating more than half of the client's savings in a single volatile reference asset-runs afoul of all of these directives.

****Likely Regulatory Outcome:**** A regulatory examination or arbitration proceeding would likely find multiple violations. Hartwell could face sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The firm could face supervisory failure charges if it lacked adequate procedures for reviewing structured product recommendations to unsophisticated retail investors. Mrs. Delacroix would likely prevail in a customer arbitration claim seeking compensatory damages for the approximately \$55,000 in principal losses, plus potential consequential damages.

Hypothetical 18

[NON-COM]

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

In March 2022, financial advisor Derek Hoffman at a mid-sized broker-dealer in Tampa, Florida, recommended that his client, 71-year-old retired postal worker Margaret Beaulieu, invest \$85,000-approximately 40% of her total liquid savings of \$210,000-into a series of reverse convertible notes linked to a basket of three biotechnology stocks. Margaret had a fixed monthly income of \$2,400 from Social Security and a small pension of \$900 per month. She had no prior experience with structured products, options, or any derivative instruments. Her account opening documents from 2019 listed her investment objective as "income with capital preservation" and her risk tolerance as "conservative." She told Hoffman during their initial meeting that she wanted safe investments that would supplement her retirement income and that she could not afford to lose her principal.

Hoffman had attended a product training session hosted by the issuing bank in January 2022 but never administered any questionnaire or assessment to determine whether Margaret understood the payoff structure of reverse convertibles, including the conditional downside exposure to equity risk, the knock-in barrier feature, or the possibility that she could receive depreciated shares of the underlying biotechnology stocks instead of her principal at maturity. He did not document any conversation in which he explained these risks. Internal emails recovered during a later compliance review showed that Hoffman's branch manager had flagged the recommendation for review, noting that the customer profile appeared inconsistent with the product, but Hoffman responded that the 14% annualized coupon would "more than make up for any risk" and the trade was processed without further escalation.

By September 2022, one of the three underlying biotech stocks had fallen 58% from its reference price, breaching the knock-in barrier set at 70% of the initial level. At maturity in March 2023, Margaret received shares of the worst-performing stock valued at approximately \$36,500 instead of her \$85,000 principal, representing a loss of roughly \$48,500, or 57% of her invested amount. She continued to receive the coupon payments totaling approximately \$11,900 over the 12-month term, but her net loss was still approximately \$36,600. Margaret filed a complaint stating she never understood that she could lose her

principal and believed the product was similar to a certificate of deposit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hoffman violated applicable suitability and best interest standards on multiple grounds.

****Failure to Know the Customer (FINRA Rule 2111 - Customer-Specific Suitability):**** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and other relevant information. Margaret Beaulieu was a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, limited fixed income, and zero experience with structured products or derivatives. The reverse convertible notes Hoffman recommended carried significant equity downside risk-the investor could receive depreciated shares worth far less than the principal invested. This product was fundamentally inconsistent with her stated objectives and risk tolerance.

****Failure to Perform Reasonable Diligence (FINRA Rule 2111 - Reasonable-Basis Suitability):**** FINRA Regulatory Notice 12-03 emphasizes that representatives must understand the risks and features of recommended products, particularly complex ones, before recommending them. While Hoffman attended a training session, he failed to conduct any assessment of whether Margaret could understand the reverse convertible's payoff mechanics, knock-in barrier, or the conditional principal-at-risk feature. FINRA Regulatory Notices 09-73 and 10-09 specifically warn firms about heightened suitability obligations when recommending complex products such as reverse convertibles and other structured notes to retail investors, particularly those who are elderly, have conservative profiles, or lack sophistication.

****Concentration Risk:**** Investing approximately 40% of Margaret's total liquid savings in a single structured product category-especially one linked to volatile biotechnology equities-represented an unsuitable concentration given her age, income limitations, and inability to absorb significant losses.

****Regulation Best Interest (Reg BI):**** Under Regulation Best Interest, Hoffman was required to act in the customer's best interest at the time of the recommendation, which includes understanding the product's risks and costs, considering reasonably available alternatives, and not placing his own interest (commissions on structured product sales are typically higher than on plain-vanilla bonds or CDs) ahead of the customer's. The 14% coupon was compensation for bearing substantial downside equity risk-risk that was wholly inappropriate for this customer.

****Supervisory Failures (FINRA Rule 2010, FINRA Rule 3110):**** The branch manager flagged the inconsistency between the customer profile and the product but allowed the trade to proceed based on Hoffman's unsupported assertion about the coupon compensating for risk. This represents a supervisory failure.

****Likely Regulatory Outcome:**** Hoffman would likely face sanctions including fines, disgorgement of commissions, suspension, and potential restitution to the customer. The firm could face supervisory

violation charges. Margaret's complaint would likely succeed in arbitration given the clear mismatch between her profile and the product, the lack of documented disclosure, and the ignored supervisory red flag.

Hypothetical 19

Topic: *structured_products_unsuitable* | Difficulty: *hard*

[NON-COM

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in suburban Cleveland, Ohio. He has a fixed monthly income of \$2,850 from Social Security and a small pension, totaling approximately \$34,200 per year. His total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover account that represents virtually all of his retirement savings. Gerald has a high school education, no prior investment experience beyond certificates of deposit and a money market account, and his new account form at Ridgepoint Securities lists his risk tolerance as 'conservative,' his investment objective as 'income and capital preservation,' his time horizon as '1-5 years,' and his liquid net worth as \$310,000. Gerald's wife, Diane, age 69, has early-stage dementia and requires increasing home health aide expenses projected at \$3,000 per month within two years.

In March 2023, Gerald's financial advisor at Ridgepoint Securities, Victor Saldana, age 38, recommended that Gerald invest \$185,000 - roughly 60% of his entire retirement savings - into a series of three reverse convertible notes. The first was a \$75,000 14-month reverse convertible linked to Tesla, Inc. common stock, paying a 12.5% annual coupon. The second was a \$60,000 12-month reverse convertible linked to a basket of three biotechnology stocks (Moderna, BioNTech, and Novavax), paying a 14.8% annual coupon. The third was a \$50,000 18-month reverse convertible linked to Coinbase Global, Inc. stock, paying a 16.2% annual coupon.

Victor explained to Gerald that these were 'high-yield income notes that pay monthly interest like a bond' and told him they were 'a great alternative to CDs since rates are still low.' Victor did not explain the knock-in barrier feature on any of the notes, did not discuss the possibility that Gerald could receive shares of the underlying stock instead of his principal back at maturity, and did not explain that his downside risk was essentially equivalent to owning the most volatile single stocks in the market. Victor's notes from the meeting state only: 'Client wants higher income. Discussed structured notes. Client agreed.' No written materials describing the payoff structure, risks, or worst-case scenarios were provided to Gerald. Gerald signed the purchase documents, which contained dense disclosure language about barrier levels, knock-in events, and physical settlement, but Victor told him 'that's all just standard legal language.'

Victor earned a total sales credit of \$7,585 across the three transactions, which was approximately 2.3 times the commission he would have earned selling Gerald a diversified bond fund or Treasury ladder producing comparable income. Ridgepoint Securities' internal product review committee had flagged reverse convertibles linked to single high-volatility stocks as requiring enhanced supervision and documentation of customer understanding, but no supervisor reviewed Victor's transactions with Gerald until a post-trade review four months later.

By September 2023, Tesla stock had declined 28%, breaching the 70% knock-in barrier on the first note. By January 2024, the biotechnology basket had declined 41%, breaching the 65% barrier on the second note. The Coinbase-linked note's barrier was breached in November 2023 when Coinbase stock dropped 33%. At maturity of the first two notes, Gerald received shares of the depreciated underlying stocks instead of his principal. His combined losses on the three reverse convertibles totaled approximately \$94,500, representing over 30% of his total retirement savings. Gerald was forced to liquidate the depreciated shares at a loss to cover Diane's home health aide costs. Gerald filed a complaint with Ridgepoint Securities in February 2024, stating he never understood he could lose his principal and believed he was purchasing 'something like a bond that paid monthly interest.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Victor Saldana committed multiple serious violations in recommending these reverse convertible notes to Gerald Whitfield.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. This rule encompasses three distinct obligations: (1) reasonable-basis suitability (understanding the product itself), (2) customer-specific suitability (matching the product to the specific customer), and (3) quantitative suitability (ensuring the overall volume/concentration is not excessive).

Under Regulation Best Interest (Reg BI), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. This includes the Care Obligation (understanding the risks and rewards of the recommendation and having a reasonable basis to believe it is in the customer's best interest), the Disclosure Obligation (providing full and fair disclosure of material facts including conflicts of interest), and the Conflict of Interest Obligation (identifying and mitigating conflicts such as heightened compensation incentives).

FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) requires all business conduct to observe high standards of commercial honor and just and equitable principles of trade.

FINRA Regulatory Notices 09-73 and 10-09 specifically address structured products and reverse convertibles, emphasizing that firms must ensure registered representatives understand the products they recommend, that customers understand the risks (including the risk of receiving depreciated shares), and that concentration in these products relative to a customer's portfolio must be carefully evaluated. FINRA RN 12-03 further highlights complex products and the heightened obligations associated with recommending them to retail investors.

****Specific Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Gerald was a 71-year-old conservative retiree with no investment experience, a short time horizon, income and capital preservation objectives, and critical near-term liquidity needs (wife's medical care). Reverse convertibles linked to single high-volatility stocks (Tesla, Coinbase) and volatile biotech baskets are among the most aggressive structured products available. They expose the investor to full downside equity risk while capping upside at the coupon. These products are fundamentally inconsistent with every element of Gerald's investment profile. No reasonable advisor could conclude these were suitable or in Gerald's best interest.
2. ****Concentration Violation:**** Allocating \$185,000 - approximately 60% of Gerald's entire liquid net worth and retirement savings - to reverse convertibles linked to volatile underliers represents a grossly excessive concentration, particularly given his age, conservative profile, and lack of alternative income sources. FINRA guidance in RN 09-73 specifically warns against over-concentration in structured products.
3. ****Disclosure / Explanation Failure:**** Victor failed to explain the fundamental mechanics of the products - the knock-in barrier, physical settlement risk, and the possibility of receiving depreciated stock instead of principal. He affirmatively mischaracterized the products as 'like CDs' and dismissed contractual risk disclosures as 'standard legal language.' This violates the disclosure obligation under Reg BI and the reasonable-basis suitability requirement under Rule 2111, which requires the advisor himself to understand the product. FINRA RN 10-09 specifically states that firms must not only provide written disclosures but must also take steps to ensure retail investors actually understand the payoff structures and risks of reverse convertibles.
4. ****Conflict of Interest:**** Victor earned approximately 2.3 times the compensation he would have earned from suitable alternatives. Under Reg BI's Conflict of Interest Obligation, this compensation differential should have been disclosed and mitigated. There is no evidence Victor disclosed this conflict or that the firm mitigated it.
5. ****Supervisory Failures:**** Ridgepoint's internal product review committee had flagged reverse convertibles linked to single volatile stocks as requiring enhanced supervision and documentation of customer understanding. No supervisor reviewed the transactions before execution, and the post-trade review occurred four months later - far too late to prevent the harm. This constitutes a failure of the firm's supervisory obligations under FINRA Rules 3110 and 3120.
6. ****FINRA Rule 2010 Violation:**** Victor's affirmative misrepresentations about the nature of the products and dismissal of risk disclosures constitute conduct inconsistent with high standards of commercial honor and just and equitable principles of trade.

****Likely Regulatory Outcome:****

Victor Saldana would likely face FINRA enforcement action including a substantial fine, disgorgement of commissions, suspension or bar from the securities industry, and an order to pay restitution to Gerald.

Ridgepoint Securities would likely face supervisory violation charges, a censure, a significant fine, and an obligation to pay restitution. In a customer arbitration, Gerald would have strong claims for compensatory damages of approximately \$94,500 plus consequential damages, with the possibility of punitive damages given the egregiousness of the misrepresentations. The facts present a textbook case of the harms that FINRA Regulatory Notices 09-73, 10-09, and 12-03 were designed to prevent.

Hypothetical 20

[NON-COM]

Topic: *complex_products_unsophisticated_investor* | Difficulty: *medium*

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Toledo, Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,850 per month, and a total liquid net worth of approximately \$285,000, nearly all of which is held in a traditional IRA rollover account at a regional broker-dealer. Her investment objectives, as documented on her new account form completed in January 2023, are 'income' and 'preservation of capital,' and her risk tolerance is marked as 'conservative.' She has no prior experience with options, derivatives, or structured products, and her account history over the prior decade consisted entirely of Treasury bonds, certificates of deposit, and a single investment-grade corporate bond fund.

In March 2023, her financial advisor, Derek Simmons, attended a product training webinar hosted by the firm's structured products desk. Following the webinar, Simmons began recommending structured notes to several clients. On April 10, 2023, during a routine portfolio review meeting, Simmons recommended that Margaret invest \$140,000 - roughly 49% of her liquid net worth - into two reverse convertible notes. The first was a \$75,000 reverse convertible linked to the common stock of a mid-cap biotechnology company, offering a 12.5% annualized coupon with a 25% downside barrier and a 14-month maturity. The second was a \$65,000 reverse convertible linked to a basket of three technology stocks, offering an 11.8% annualized coupon with a 30% barrier and a 12-month maturity.

Simmons explained to Margaret that the products would provide 'higher income than her CDs' and described the coupon payments as similar to bond interest. He did not explain the contingent repayment of principal, the possibility that she could receive shares of a depreciated stock instead of her cash investment at maturity, or the fact that her upside was capped at the coupon while her downside exposure was essentially that of an equity holder below the barrier. He did not provide the offering documents prior to the meeting and instead had her sign the purchase paperwork at the end of their 40-minute session. Internal notes from the meeting reflect only 'client agreed to structured note purchases for income enhancement.'

The firm's written supervisory procedures required a principal to review all structured product transactions over \$50,000 for retail clients over age 65. However, the branch manager, Lisa Pratt, approved both trades the same afternoon they were entered, spending what electronic audit trails suggest was less than three minutes reviewing the orders. There is no documentation that Pratt reviewed Margaret's account profile, investment objectives, or risk tolerance before approving the transactions.

By August 2023, the biotechnology stock underlying the first reverse convertible had fallen 38%, breaching the 25% barrier. At maturity in June 2024, Margaret received 1,420 shares of the biotech stock then worth approximately \$44,300 - a loss of over \$30,000 on that single position. The basket-linked note also breached its barrier in October 2023, and at its April 2024 maturity, Margaret received shares worth approximately \$47,100, representing a loss of roughly \$17,900. In total, Margaret lost approximately \$48,000 on the two positions, or about 17% of her entire liquid net worth, while receiving approximately \$16,800 in coupon payments, for a net loss of over \$31,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Derek Simmons violated applicable suitability and best interest standards on multiple grounds, and the branch manager's supervisory failures compounded the violations.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. ****Regulation Best Interest (Reg BI):**** For recommendations made after June 30, 2020, broker-dealers must act in the retail customer's best interest at the time the recommendation is made, without placing their own financial interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, and to consider reasonably available alternatives.
3. ****FINRA Rule 2010 (Standards of Commercial Honor):**** Requires adherence to high standards of commercial honor and just and equitable principles of trade.
4. ****FINRA Regulatory Notices 09-73, 10-09, and 12-03**** specifically address concerns about structured products, including reverse convertibles, and emphasize that firms must ensure representatives understand the products they recommend, that the products are suitable for the specific customers to whom they are recommended, and that adequate disclosure is provided.

****Analysis of Violations:****

****Customer-Specific Suitability (Rule 2111.05(a))**** Margaret is a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, no experience with structured products or derivatives, and a portfolio history of fixed-income and cash-equivalent instruments. Reverse convertibles are fundamentally equity-risk instruments dressed in a coupon-bearing wrapper. The investor is short a put option on the underlying equity (or basket), meaning that below the barrier, the investor bears full equity

downside. This payoff profile is directly contrary to Margaret's stated objectives of capital preservation and conservative risk tolerance. Allocating nearly half of her liquid net worth to two such instruments dramatically concentrated her portfolio in equity-linked risk she neither understood nor desired.

****Reasonable-Basis Suitability (Rule 2111.05(a)):** FINRA RN 09-73 specifically warned that reverse convertibles expose investors to significant downside risk and that the coupon payments compensate for the embedded short put option, not for credit risk as in a traditional bond. Simmons's characterization of the coupon as similar to 'bond interest' demonstrates either a fundamental misunderstanding of the product's payoff structure or a deliberate mischaracterization - both of which fail reasonable-basis suitability. An advisor cannot have a reasonable basis for recommending a product he either does not understand or misrepresents.

****Reg BI Care Obligation:** Under Reg BI, Simmons was required to exercise reasonable diligence, care, and skill, including understanding the risks and rewards of the reverse convertibles and having a reasonable basis to believe the recommendations were in Margaret's best interest. Simmons failed to consider reasonably available alternatives (such as investment-grade bonds, Treasury securities, or CD ladders) that would have provided income consistent with her conservative profile without exposing her to contingent equity losses. The concentration of 49% of liquid assets in two correlated structured notes linked to volatile sectors (biotech and technology) further demonstrates a failure of care.

****Disclosure Failures:** FINRA RN 10-09 emphasizes the importance of fair and balanced disclosure for structured products. Simmons failed to explain the contingent nature of principal repayment, the possibility of receiving depreciated shares, the embedded short put option, the cap on upside potential, or the credit risk of the issuer. He did not provide offering documents before obtaining Margaret's signature. These failures also implicate FINRA Rule 2010.

****Supervisory Failures:** FINRA Rule 3110 requires firms to establish and maintain a system to supervise the activities of each associated person. The firm's own WSPs required heightened review of structured product transactions over \$50,000 for clients over age 65. Branch manager Lisa Pratt's cursory three-minute approval, with no documented review of the customer's profile, objectives, or risk tolerance, constitutes a failure to reasonably supervise. FINRA RN 12-03 specifically noted that firms must have robust supervisory systems for complex products and must not rely on cursory or rubber-stamp approvals.

****Concentration:** Investing 49% of a 71-year-old conservative retiree's liquid net worth in two equity-linked structured notes with barrier features represents an unsuitable concentration, particularly given that these assets constituted her primary financial cushion beyond fixed pension and Social Security income.

****Likely Regulatory Outcome:** Simmons would likely face individual liability for unsuitable recommendations and Reg BI violations, potentially resulting in a suspension, fine, and disgorgement of commissions. The firm would likely face supervisory failure charges. Margaret would have strong grounds for a customer arbitration claim seeking compensatory damages of approximately \$31,000 (net losses after coupon payments), plus interest and costs. Depending on the egregiousness found, punitive damages or attorney fees could also be awarded. The firm could also face an enforcement action related to its systemic supervisory deficiencies regarding structured product sales to senior retail investors.

Hypothetical 21

Topic: structured_products_unsuitable | Difficulty: hard

Fact Pattern

Margaret Kowalski, age 74, is a retired elementary school teacher living in suburban Cleveland, Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,900 per month, and total liquid savings of approximately \$410,000, almost all of which is held in a traditional IRA that she has been drawing from for required minimum distributions. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income with capital preservation,' her investment experience as 'limited - mostly certificates of deposit and a target-date mutual fund through her employer plan,' and her time horizon as '5-10 years.' She has no prior experience with derivatives, options, or structured products of any kind.

In September 2024, her financial advisor, Derek Halloran, who had been managing her IRA for three years, called her to discuss what he described as 'a CD alternative that pays much higher interest.' He recommended she invest \$175,000 - approximately 43% of her liquid net worth - into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company, Veridian Therapeutics Inc. (ticker: VRDN). The note offered a 12.5% annualized coupon, paid monthly, with a knock-in barrier set at 70% of VRDN's initial stock price. If at maturity or at any point during the term the stock fell below the 70% barrier, Margaret would receive shares of VRDN stock instead of her principal, meaning she could lose a substantial portion of her investment. The product carried a 2.75% upfront sales concession paid to Halloran's broker-dealer.

During the call, Halloran explained the coupon payments and the maturity date but did not explain the knock-in barrier mechanism, the possibility of receiving depreciated shares instead of cash at maturity, or the fact that her maximum gain was capped at the coupon while her downside exposure was essentially the same as owning the underlying stock below the barrier. He did not provide or discuss the product's offering memorandum or pricing supplement prior to the transaction. Margaret agreed to the purchase based on the conversation, believing she was buying something similar to a high-yield CD.

Halloran also did not document any analysis of why a reverse convertible tied to a single volatile biotech stock was appropriate for Margaret's stated objectives and risk profile. His branch manager approved the trade after a cursory review that flagged no issues.

By January 2025, Veridian Therapeutics had fallen 41% from the reference price after a failed Phase III clinical trial, breaching the knock-in barrier. At the note's maturity in November 2025, the stock was trading at \$18.40, down 52% from the initial reference price of \$38.25. Margaret received 4,575 shares of VRDN valued at approximately \$84,180, representing a loss of roughly \$90,820 in principal (before accounting for the approximately \$18,200 in coupon payments she had received over the term). Her net loss was approximately \$72,620, or roughly 41.5% of the amount invested.

Margaret filed a complaint with the broker-dealer in December 2025, stating she never understood the product could result in a loss of principal and that she believed she was purchasing a fixed-income instrument similar to a bank CD. She noted that she would never have agreed to a product linked to a

single biotech stock had the risks been clearly explained.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halloran violated multiple regulatory standards in recommending the reverse convertible note to Margaret Kowalski.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the product must match the specific customer's profile), and (3) quantitative suitability (the overall pattern of transactions must not be excessive).

Here, the customer-specific suitability obligation was clearly violated. Margaret was a 74-year-old retiree with conservative risk tolerance, an objective of income with capital preservation, limited investment experience confined to CDs and a target-date fund, and a moderate time horizon. A reverse convertible note linked to a single volatile mid-cap biotechnology stock is fundamentally incompatible with this profile. The product's payoff structure gives the investor full downside exposure to the underlying equity below the barrier while capping the upside at the coupon - precisely the opposite of what a capital preservation investor needs. FINRA Regulatory Notice 09-73 specifically warns firms about reverse convertibles, noting that the complexity and risk of these products make them potentially unsuitable for retail investors, particularly those with conservative objectives or limited sophistication.

****Concentration Risk:****

The \$175,000 investment represented approximately 43% of Margaret's liquid net worth, concentrated in a single structured product tied to a single equity. This level of concentration in a complex, risky instrument further aggravates the suitability violation.

****Reg BI (Regulation Best Interest) Analysis:****

Under Regulation Best Interest, which applies to broker-dealer recommendations to retail customers, Halloran was required to act in Margaret's best interest at the time of the recommendation and not place his own financial interests ahead of hers. The regulation's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks and rewards and having a reasonable basis to believe the recommendation is in the customer's best interest based on her profile.

The 2.75% upfront sales concession created a significant financial incentive for Halloran to recommend this product over more suitable alternatives (such as actual CDs, Treasury securities, or investment-grade bonds), raising a conflict of interest that was neither mitigated nor disclosed. The Conflict of Interest Obligation under Reg BI required the firm to identify, disclose, and mitigate this conflict, which does not appear to have occurred.

The Disclosure Obligation under Reg BI was also violated. Halloran failed to provide the offering memorandum or pricing supplement before the transaction and failed to explain the knock-in barrier, the equity conversion risk, or the asymmetric payoff structure. By describing the product as a 'CD alternative,' he affirmatively mischaracterized the nature and risk of the investment.

****FINRA Rule 2010 - Standards of Commercial Honor:****

Halloran's description of the reverse convertible as a 'CD alternative that pays much higher interest' without disclosing the material risks - particularly the possibility of receiving depreciated stock and losing a substantial portion of principal - constitutes conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

****Relevant FINRA Regulatory Guidance:****

FINRA Regulatory Notice 10-09 reminds firms of their obligations regarding complex products, emphasizing that firms must perform a reasonable-basis suitability analysis before offering a complex product, ensure that registered representatives understand the product's features and risks, and that the product is suitable for the specific customer. FINRA Regulatory Notice 12-03 reinforces heightened scrutiny for complex products and calls on firms to consider whether their registered representatives can effectively explain the product to customers, a standard Halloran clearly failed to meet.

****Supervisory Failure:****

The branch manager's cursory approval of this trade - given the obvious red flags of a conservative, elderly, unsophisticated investor purchasing a reverse convertible linked to a volatile biotech stock with 43% of her liquid assets - constitutes a supervisory failure under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:****

Halloran and his firm would likely face FINRA enforcement action for violations of Rules 2111 and 2010, as well as Reg BI. Potential sanctions include disgorgement of the sales concession, restitution to the customer for her net losses (approximately \$72,620), fines, and a suspension or bar for the advisor. The branch manager and firm could face additional supervisory violation charges. In arbitration, Margaret would have strong grounds for recovery of her full net losses plus costs and interest.

Hypothetical 22

Topic: *high_fees_unsuitable* | Difficulty: *medium*

Fact Pattern

In March 2022, financial advisor Derek Hollins at a mid-sized broker-dealer in Tampa, Florida, recommended that his client, Patricia Langdon, age 71, invest \$85,000 in Barclays-issued reverse convertible notes linked to the common stock of a large technology company. Mrs. Langdon was a retired elementary school teacher with a fixed annual income of \$42,000 from her pension and Social Security. Her total liquid net worth was approximately \$310,000, held primarily in certificates of deposit and a conservative bond mutual fund. Her account opening documents listed her investment objective as 'income

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with capital preservation' and her risk tolerance as 'low.' She had no prior experience with structured products, options, or equities beyond owning a small position in a dividend-paying utility stock. The reverse convertible notes had a 12-month term, paid an annualized coupon of 11.5%, and included a knock-in barrier set at 70% of the initial stock price. The embedded fees and costs associated with the notes totaled approximately 4.8% of the notional amount, which was not clearly broken out in the term sheet but was reflected in an estimated fair value of \$952 per \$1,000 note at issuance. Hollins told Mrs. Langdon the product was 'like a CD but with a much better interest rate' and did not explain the downside risk of receiving shares of the reference stock if the barrier was breached. He also did not explain the embedded option component or the credit risk to the issuer. During the 12-month term, the reference technology stock declined 38%, breaching the knock-in barrier. At maturity, Mrs. Langdon received shares of the reference stock worth approximately \$52,700 instead of her \$85,000 principal, plus the \$9,775 in coupon payments, resulting in a net loss of approximately \$22,525, or roughly 26.5% of her invested capital. Mrs. Langdon filed a complaint stating she never understood she could lose principal and believed the product was similar to a bank CD. Internal records showed that Hollins earned a gross commission of \$3,400 on the sale, which was approximately twice the commission he would have earned placing Mrs. Langdon in a comparable investment-grade corporate bond.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollins violated multiple regulatory standards in recommending the reverse convertible notes to Patricia Langdon.

****Suitability under FINRA Rule 2111:**** FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

On reasonable-basis suitability, Hollins' characterization of the reverse convertible as 'like a CD but with a much better interest rate' strongly suggests he either did not understand the product himself or deliberately misrepresented it. FINRA Regulatory Notice 09-73 specifically warns that reverse convertibles are complex products combining a debt instrument with a put option written by the investor, exposing the holder to significant downside equity risk. FINRA Regulatory Notice 10-09 further emphasizes that firms and advisors must conduct adequate due diligence to understand the risks, costs, and features of structured products before recommending them.

On customer-specific suitability, Mrs. Langdon's profile - age 71, retired, low risk tolerance, income-with-capital-preservation objective, limited liquid net worth of \$310,000, and no experience with structured products or options - made her a clearly unsuitable candidate for a reverse convertible note. The product exposed approximately 27% of her liquid net worth to downside equity risk on a single volatile technology stock, directly contradicting her stated objective of capital preservation. FINRA RN 12-03 reinforces the obligation to ensure complex products are only sold to investors who understand the risks and for whom the products are suitable.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation, Hollins was required to exercise reasonable diligence, care, and skill to understand the product and to have a reasonable basis to believe the recommendation was in the customer's best interest at the time it was made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The 4.8% embedded cost, which was nearly double what a comparable corporate bond would have cost, combined with the significant principal-at-risk nature of the product, demonstrates that this recommendation was not in Mrs. Langdon's best interest. Under Reg BI's Disclosure Obligation, Hollins failed to disclose material facts about the product's risks and costs, instead affirmatively mischaracterizing the product as CD-like.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Hollins' misleading comparison of a reverse convertible to a CD constitutes conduct inconsistent with just and equitable principles of trade. This misrepresentation likely induced Mrs. Langdon to invest in a product she would not have otherwise purchased.

****High Fee / Cost Concerns:**** The 4.8% embedded cost is particularly relevant. FINRA has emphasized in multiple regulatory notices that the costs embedded in structured products - which are often opaque - must be weighed against the potential benefits and disclosed to investors. The elevated commission Hollins received (approximately double what he would have earned on a suitable alternative) suggests the recommendation may have been motivated by compensation rather than client interest, further supporting a Reg BI conflict-of-interest concern.

****Likely Regulatory Outcome:**** Hollins would likely face disciplinary action including potential fines, suspension, and an order to pay restitution to Mrs. Langdon. The firm could face supervisory failure charges under FINRA Rule 3110 if it did not have adequate procedures to review structured product recommendations to retail customers, particularly elderly customers with conservative profiles. Mrs. Langdon's arbitration claim for the approximately \$22,525 net loss, plus fees and costs, would have strong prospects for recovery.

Hypothetical 23

Topic: high_fees_unsuitable | Difficulty: hard

Fact Pattern

In March 2021, financial advisor Derek Sloane at Piedmont Capital Group recommended that his client, Gloria Fuentes, age 71, invest \$185,000 into a series of three structured notes. Mrs. Fuentes was a retired elementary school teacher with a fixed pension of \$3,200 per month, Social Security income of \$1,850 per month, and total liquid savings of approximately \$410,000, the majority of which was held in a traditional IRA rollover. Her stated investment objectives were capital preservation and income generation. On her new account form, her risk tolerance was marked as 'moderate,' though during her recorded intake call she told Sloane she 'could not afford to lose any of the money' and needed it to supplement her retirement income for medical expenses and daily living. Sloane recommended three products: (1) a \$75,000 allocation to a 2-year reverse convertible note linked to Tesla, Inc. common stock with a 12.5% annual coupon and a 30% downside barrier, carrying an embedded issuer fee of 3.75%; (2) a \$60,000 allocation to

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a 3-year autocallable contingent coupon note linked to a worst-of basket of three semiconductor stocks (AMD, NVIDIA, and Qualcomm), paying a contingent quarterly coupon of 9.2% annually with a 25% knock-in barrier and an embedded fee of 4.1%; and (3) a \$50,000 allocation to a 5-year principal-protected note linked to the Euro Stoxx 50 index with a participation rate of only 62% and an embedded fee estimated at 5.25%, which included a 2.0% selling concession to Sloane's firm. In total, Mrs. Fuentes paid approximately \$7,825 in embedded fees across the three products at issuance. Sloane did not provide Mrs. Fuentes with any independent pricing analysis and did not discuss the economic value of the notes at issuance relative to their face value. He told her the principal-protected note was 'completely safe' and described the reverse convertible as a 'high-yield bond alternative.' He did not explain the worst-of basket mechanism, the meaning of knock-in barriers, or the possibility that she could receive shares of a depreciated stock instead of her principal. He did not discuss the issuer's credit risk on any of the notes. Sloane's branch manager approved all three transactions after a cursory review of the account paperwork. By March 2022, Tesla stock had declined 38% from the initial strike price, breaching the barrier on the reverse convertible. At maturity in March 2023, Tesla was trading 42% below the initial price, and Mrs. Fuentes received 310 shares of Tesla valued at approximately \$43,400 instead of her \$75,000 principal—a loss of \$31,600 before accounting for coupon payments received. The autocallable note's worst performer, AMD, had declined 33% by the first observation date, suspending coupon payments for three consecutive quarters. Mrs. Fuentes, distressed and confused, called Sloane's office repeatedly asking why she was not receiving income from the products she was told would generate reliable cash flow. She ultimately filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sloane committed multiple serious violations in recommending these structured products to Gloria Fuentes.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer. This rule encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

Under Regulation Best Interest (Reg BI), broker-dealers must act in the retail customer's best interest at the time of the recommendation, satisfying the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation. The Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making recommendations and consider reasonably available alternatives.

FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) requires brokers to observe high standards of commercial honor and just and equitable principles of trade.

FINRA Regulatory Notice 10-09 specifically addresses structured products and reminds firms that the complexity, embedded costs, and credit risk of structured products demand heightened suitability scrutiny. It emphasizes that firms must ensure representatives understand the products they recommend and that the products are suitable given the customer's profile. FINRA Regulatory Notice 09-73 similarly addresses reverse convertibles and cautions that the high coupons on these products compensate investors for assuming significant downside equity risk, and that they should not be characterized as fixed-income or bond alternatives. FINRA Regulatory Notice 12-03 addresses complex products generally and reinforces that firms must have adequate supervisory procedures and ensure that customers understand the material features and risks of complex products before purchase.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Fuentes was a 71-year-old retiree with limited liquid savings, fixed income, capital preservation objectives, and an expressed inability to tolerate loss. Allocating \$185,000 (approximately 45% of her liquid savings) to structured notes-two of which carried significant principal risk-is fundamentally inconsistent with her investment profile. The reverse convertible and the autocallable worst-of note exposed her to potential losses of 30-100% of principal, which is antithetical to capital preservation. Even the principal-protected note, while nominally safe, carried a 5-year lockup with no liquidity, significant issuer credit risk, and poor economic value due to the low participation rate and high embedded fees.
2. ****Reasonable-Basis Suitability Violation:**** Sloane's characterization of the reverse convertible as a 'high-yield bond alternative' and the principal-protected note as 'completely safe' strongly suggests he either did not understand these products or deliberately misrepresented them. Reverse convertibles are synthetic short put positions with capped upside; they are not bond alternatives. The principal-protected note was subject to issuer credit risk and opportunity cost, which he failed to disclose or discuss.
3. ****Misrepresentation and Failure to Disclose Material Information (FINRA Rule 2010, Reg BI Disclosure Obligation):**** Sloane failed to explain the worst-of basket mechanism, knock-in barriers, the possibility of physical delivery of depreciated shares, issuer credit risk, embedded fees totaling approximately \$7,825, or the economic value of the notes at issuance relative to their face value. These are all material facts necessary for an informed investment decision.
4. ****Excessive Embedded Fees:**** The embedded fees across the three products (ranging from 3.75% to 5.25%) are exceptionally high relative to alternative investments that would have been more suitable for Mrs. Fuentes's profile, such as Treasury securities, CDs, investment-grade bond funds, or fixed annuities. Under Reg BI's Care Obligation and the cost considerations embedded in FINRA Rule 2111, the advisor was required to consider reasonably available alternatives and the costs associated with the recommendation. The high fees created a significant drag on returns and primarily benefited Sloane and his firm.
5. ****Supervisory Failure:**** The branch manager's cursory approval of these transactions for a 71-year-old retiree with capital preservation objectives represents a failure of the firm's supervisory system, potentially violating FINRA Rules 3110 and 3120. FINRA RN 12-03 specifically calls on firms to implement heightened

supervision for complex product recommendations to retail investors.

6. ****Concentration Risk:**** Placing 45% of Mrs. Fuentes's liquid retirement savings into structured notes-illiquid instruments with significant credit and market risk-created dangerous concentration that was wholly inappropriate for her profile.

****Likely Regulatory Outcome:**** Sloane would likely face FINRA enforcement action for suitability violations under Rule 2111, Reg BI violations, and violations of Rule 2010 for misrepresentations and omissions. Potential sanctions include fines, disgorgement of commissions, suspension or bar from the industry. The firm would likely face supervisory failure charges. Mrs. Fuentes would have strong grounds for recovery in FINRA arbitration for compensatory damages, including net losses on the reverse convertible (approximately \$31,600 minus coupons received), any losses on the autocallable note, the embedded fees paid, and potentially consequential damages.

Hypothetical 24

Topic: *failure_to_know_customer* | Difficulty: *medium*

Fact Pattern

In March 2024, financial advisor Derek Simmons of Ridgeway Capital Partners in Tampa, Florida, met with new client Gloria Medina, a 71-year-old retired elementary school teacher. Mrs. Medina had recently lost her husband and received approximately \$340,000 in life insurance proceeds. She had an existing portfolio of \$185,000, mostly in certificates of deposit and a money market account at her local bank. Her monthly income consisted of \$2,100 in Social Security and a small teacher's pension of \$1,450 per month. Mrs. Medina told Simmons during their initial meeting that she wanted to keep her money safe, generate some additional monthly income, and ensure she had funds available for potential medical expenses. She described herself as someone who had never invested in anything beyond bank products and did not understand the stock market. Simmons had Mrs. Medina complete a new account form, but he filled in most of the fields himself during the meeting. He marked her risk tolerance as 'moderate' and her investment objective as 'growth and income.' He did not ask her about her tax situation, her existing debts (she still carried a \$48,000 mortgage), her health insurance coverage, or her experience with any financial products beyond CDs. Simmons did not document any conversation about her investment knowledge or experience. Within two weeks, Simmons recommended that Mrs. Medina invest \$200,000 of her life insurance proceeds into three reverse convertible notes: \$80,000 in a 12-month reverse convertible linked to Tesla stock paying a 12.5% coupon, \$60,000 in a 9-month reverse convertible linked to a basket of biotech stocks paying 11.2%, and \$60,000 in an 18-month reverse convertible linked to Amazon stock paying 9.8%. Simmons told Mrs. Medina these were 'like CDs but with better interest rates' and that they were issued by a major bank, so they were safe. He did not explain the knock-in barrier feature, the possibility that she could receive shares of a depreciated stock instead of her principal, or that the coupon payments were compensation for bearing significant downside equity risk. Mrs. Medina signed the paperwork. By December 2024, the Tesla-linked reverse convertible had breached its 70% knock-in barrier after Tesla shares dropped 38%, and Mrs. Medina received Tesla shares worth approximately \$49,600 instead of her \$80,000 principal. The biotech basket note also breached its barrier, and she received shares valued at roughly \$39,000 instead of

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her \$60,000. In total, Mrs. Medina lost over \$51,000 in principal value across the two notes, partially offset by approximately \$14,500 in coupon payments received. When she called Simmons in distress, he told her the market would recover and suggested she hold the shares. Mrs. Medina filed a complaint with the firm stating she never understood these were anything other than safe, bank-issued income products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons committed multiple serious violations in his handling of Gloria Medina's account.

****Failure to Know the Customer (FINRA Rule 2111 - Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

The most fundamental violation is Simmons's failure to conduct adequate due diligence on his customer. FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on reasonable diligence to ascertain the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer may disclose. Simmons filled in the new account form himself, marked Mrs. Medina's risk tolerance as 'moderate' when her own statements clearly indicated she was conservative, did not document her investment knowledge (which was essentially zero beyond CDs), failed to inquire about her debts, health insurance, or tax situation, and did not assess her liquidity needs despite her stated concern about medical expenses. This constitutes a textbook failure to know the customer.

****FINRA Regulatory Notice 10-09 (Reverse Convertibles):****

FINRA RN 10-09 specifically addresses reverse convertibles, warning that these products have complex payoff structures combining a debt instrument with a put option. The notice emphasizes that firms and their associated persons must understand these products before recommending them and must ensure the recommendation is suitable given the customer's profile. The notice explicitly warns against characterizing reverse convertibles as alternatives to traditional fixed-income products like CDs, which is precisely what Simmons did.

****FINRA Regulatory Notice 12-03 (Complex Products):****

RN 12-03 addresses heightened supervision obligations for complex products sold to retail investors. It states that firms must have reasonable grounds for believing that a customer can understand and bear the risks of complex products. A 71-year-old retired teacher with no investment experience beyond CDs, seeking safety and income, with significant liquidity needs, is the paradigm of a customer for whom reverse convertibles are unsuitable.

****FINRA Regulatory Notice 09-73 (Non-Traditional Products):****

RN 09-73 reinforces the obligation to ensure customers understand the products being recommended to them and that adequate disclosure is made regarding risks, costs, and features.

****Regulation Best Interest (Reg BI):****

Under the SEC's Regulation Best Interest, Simmons was required to act in Mrs. Medina's best interest at

the time of the recommendation. The Care Obligation under Reg BI requires reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the product and having a reasonable basis to believe the recommendation is in the customer's best interest. Recommending concentrated positions in volatile equity-linked structured notes to a 71-year-old conservative widow with no investment sophistication and significant liquidity needs clearly fails the Care Obligation. The Disclosure Obligation was also violated, as Simmons affirmatively mischaracterized the products as similar to CDs.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Simmons's misrepresentation of reverse convertibles as being 'like CDs but with better interest rates' constitutes a material misrepresentation in violation of FINRA Rule 2010, which requires adherence to high standards of commercial honor and just and equitable principles of trade. Reverse convertibles carry fundamentally different risk profiles than CDs - they are unsecured obligations with embedded short put options - and comparing them to FDIC-insured bank products is misleading.

****Customer-Specific Suitability Failures:****

Even setting aside the failure to gather complete information, the information Simmons did have - a 71-year-old widow, retired on fixed income, no investment experience, seeking safety and income, needing liquidity for medical expenses - made these recommendations patently unsuitable. Concentrating \$200,000 (nearly 60% of her total investable assets) in high-risk structured notes linked to volatile equities is inconsistent with every stated and reasonably inferred objective.

****Likely Regulatory Outcome:****

Simmons would likely face FINRA enforcement action including fines, suspension or bar, and disgorgement of commissions. Mrs. Medina would likely prevail in arbitration and recover her losses, including the approximately \$51,000 in principal losses minus coupon income received, plus potentially consequential damages, interest, and attorneys' fees. The firm, Ridgeway Capital Partners, could also face supervisory failure charges under FINRA Rules 3110 and 3120 if its supervisory systems failed to flag these unsuitable recommendations.

Hypothetical 25

Topic: senior_investor_exploitation | Difficulty: medium

Fact Pattern

Margaret Dalton, age 78, is a retired elementary school teacher living in Scottsdale, Arizona. She receives \$2,400 per month in Social Security and a \$1,100 monthly pension. Her total liquid savings amount to approximately \$340,000, held in a brokerage account at a regional broker-dealer. Mrs. Dalton's account documents, completed when she opened the account in 2017, list her risk tolerance as "conservative," her investment objective as "income and capital preservation," her investment experience as "limited - CDs and money markets," and her time horizon as "short-term (1-3 years)." She has no prior experience with equities, options, or structured products.

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In March 2022, her financial advisor, Kevin Pratt (age 34, three years of experience at the firm), contacted Mrs. Dalton and recommended she invest \$210,000 - approximately 62% of her liquid net worth - into a series of three reverse convertible notes. The notes were linked to the common stock of three separate technology companies: a large-cap semiconductor manufacturer, a mid-cap cloud computing company, and a small-cap social media firm. Each note had a 14-month maturity, offered a stated coupon of 11.5% to 14.75%, and included a knock-in barrier set at 65% of the initial stock price. If any of the underlying stocks declined below the barrier at any point during the term and closed below the initial price at maturity, the investor would receive shares of the worst-performing stock instead of the return of principal.

Pratt told Mrs. Dalton that the products were "like CDs but with better interest rates" and described them as "income-generating notes that pay you every month." He did not explain the knock-in barrier mechanism, the possibility that she could receive depreciated shares instead of her principal, or the fact that her upside was capped at the coupon while her downside was equivalent to owning the worst-performing stock. He did not provide her with the pricing supplement or the base prospectus prior to the transaction. He also did not discuss the credit risk of the issuing bank, the illiquidity of the notes on the secondary market, or the embedded costs and fees (which totaled approximately 2.75% of the notional amount per note, paid to the firm as a selling concession).

By January 2023, the small-cap social media stock had declined 58% from its initial price, breaching the knock-in barrier. At maturity in May 2023, the stock remained below its initial reference price. Mrs. Dalton received shares of the small-cap social media company worth approximately \$87,400 in lieu of her \$70,000 principal on that note - but the shares continued to decline, and by September 2023, those shares were worth only \$41,200. On the other two notes, the underlying stocks also experienced volatility; one note returned principal at maturity, while the second breached its barrier and converted into shares of the semiconductor company then worth \$52,100 against a \$70,000 investment. In total, Mrs. Dalton received approximately \$93,300 in principal value (shares and cash) plus \$27,825 in coupon payments, against her original \$210,000 investment - a net loss of approximately \$88,875.

When Mrs. Dalton's daughter reviewed the account statements in late 2023 and asked Pratt to explain the losses, he stated that "markets were tough" and that "these things happen with any investment." He did not acknowledge any failure to disclose the risks. Mrs. Dalton subsequently filed a complaint with the firm, stating she never understood she could lose her principal and believed she was purchasing something similar to a certificate of deposit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt committed multiple serious violations in recommending these reverse convertible notes to Mrs. Dalton.

****Suitability Violations (FINRA Rule 2111):****

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile,

including age, financial situation, risk tolerance, investment objectives, time horizon, experience, and liquidity needs.

1. ****Customer-Specific Suitability:**** Mrs. Dalton is a 78-year-old retiree with conservative risk tolerance, a capital preservation objective, limited investment experience (CDs and money markets), and a short-term time horizon. Reverse convertibles are complex structured products with embedded short put options that expose the investor to significant downside equity risk. Concentrating 62% of her liquid net worth in three reverse convertibles linked to volatile technology stocks is fundamentally incompatible with her stated objectives and risk profile. This fails the customer-specific suitability component of Rule 2111.

2. ****Reasonable-Basis Suitability:**** Pratt also appears to have lacked a reasonable-basis understanding of the products themselves, as evidenced by his characterization of reverse convertibles as "like CDs but with better interest rates." FINRA Regulatory Notice 12-03 emphasizes that representatives must understand the risks and features of complex products before recommending them. FINRA Regulatory Notice 09-73 specifically addresses suitability obligations for reverse convertibles and warns firms that the high coupons on these products compensate investors for taking on significant risk - risk that must be clearly communicated.

3. ****Quantitative Suitability/Concentration:**** Investing \$210,000 out of \$340,000 in liquid savings (62%) in a single product type - especially one with significant principal risk - represents excessive concentration for any conservative investor, let alone a 78-year-old retiree dependent on her savings.

****Regulation Best Interest (Reg BI):****

For recommendations made after June 30, 2020, Reg BI's Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires the broker to provide full and fair disclosure of all material facts relating to the scope and terms of the relationship, including material conflicts of interest. Pratt failed both obligations: he did not exercise reasonable care in matching the product to the customer, and he failed to disclose the key risks (knock-in barrier, equity conversion, loss of principal, illiquidity, credit risk) and costs (2.75% selling concession per note).

****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):****

Pratt's misleading comparison of reverse convertibles to CDs constitutes a misrepresentation of a material fact - the risk profile of the investment. This violates FINRA Rule 2010's just and equitable principles of trade. CDs are FDIC-insured, principal-guaranteed instruments; reverse convertibles carry full equity downside risk. Telling a senior investor with no equity experience that these products are "like CDs" is materially misleading.

****FINRA Regulatory Notice 10-09 (Sales Practice Obligations for Structured Products):****

RN 10-09 reminds firms that structured products require heightened scrutiny regarding suitability,

particularly with respect to retail investors who may not understand complex payoff structures. The Notice emphasizes that firms must ensure customers receive and understand the offering documents, including the pricing supplement, before purchase. Pratt's failure to provide the pricing supplement or base prospectus prior to the transaction is a further violation.

****Senior Investor Considerations:****

FINRA has repeatedly emphasized heightened obligations when dealing with senior investors (age 65+), who may be more vulnerable to misleading sales practices and who typically cannot recover from significant investment losses due to limited time horizons and fixed income streams. Mrs. Dalton's age, dependence on fixed income, and lack of investment sophistication all warranted additional caution - not aggressive placement into complex, high-risk structured products.

****Likely Regulatory Outcome:****

Pratt and his firm face potential disciplinary action including fines, disgorgement of commissions, restitution to Mrs. Dalton, and suspension or bar for Pratt. The firm may also face supervisory failure charges if it did not have adequate procedures in place to review structured product recommendations to senior investors. Mrs. Dalton would likely prevail in a FINRA arbitration claim seeking compensatory damages of approximately \$88,875 plus interest, and potentially attorneys' fees.

Hypothetical 26

Topic: complex_products_unsophisticated_investor | Difficulty: medium

Fact Pattern

In March 2023, financial advisor Derek Hollings, working out of a mid-sized broker-dealer in Tampa, Florida, met with his client Margaret Doyle, a 71-year-old retired elementary school teacher. Mrs. Doyle had a total liquid net worth of approximately \$340,000, consisting of \$210,000 in a traditional IRA and \$130,000 in a taxable brokerage account. Her annual income was \$38,000, composed entirely of Social Security benefits and a modest state pension. On her new account form, her investment objectives were listed as 'income' and 'preservation of capital,' and her risk tolerance was marked as 'conservative.' Mrs. Doyle had no prior experience with options, derivatives, or structured products, and her prior holdings consisted exclusively of certificates of deposit, a money market fund, and a diversified bond mutual fund. During the meeting, Hollings recommended that Mrs. Doyle invest \$75,000 from her IRA into a series of three reverse convertible notes, each with a face value of \$25,000 and a three-month term. The notes were linked to three separate single-stock underliers: a mid-cap retail apparel company with an implied volatility of 52%, a biotechnology firm with an implied volatility of 61%, and a social media company with an implied volatility of 47%. The notes offered annualized coupon rates ranging from 11.5% to 14.75%. Each note contained a knock-in barrier set at 65% of the initial stock price, meaning that if any reference stock declined 35% or more at any point during the term, the investor could receive shares of the depreciated stock at maturity instead of the return of principal. Hollings told Mrs. Doyle that the notes were 'like CDs but with a much better interest rate' and described them as 'safe income products issued by a major bank.' He did not

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explain the embedded put option, the knock-in barrier mechanism, the possibility of receiving depreciated shares, or the credit risk of the issuing bank. He did not provide the pricing supplement or prospectus at the time of the recommendation, though the firm's records show these documents were mailed to Mrs. Doyle five days after the trade was executed. Hollings earned a total commission of \$2,625 on the three transactions, which was approximately 3.5% of the invested amount. By the end of the three-month term, the biotechnology stock had declined 42% from its initial level, triggering the knock-in provision. Mrs. Doyle received 1,785 shares of the biotech stock valued at approximately \$14,500 instead of the return of her \$25,000 principal on that note. Including the coupon payments received across all three notes, she suffered a net loss of approximately \$8,100 on the \$75,000 investment. When Mrs. Doyle called Hollings to ask what had happened, he explained for the first time that she could receive stock instead of cash, and she stated she had never understood that was possible. She subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollings violated multiple regulatory standards in recommending reverse convertible notes to Margaret Doyle.

****Suitability under FINRA Rule 2111:**** FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed to the broker. There are three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

On reasonable-basis suitability, Hollings had an obligation to understand the products he was recommending. Reverse convertible notes are complex structured products with embedded short put options that expose investors to significant downside equity risk. FINRA Regulatory Notice 10-09 specifically warns firms about the risks of reverse convertibles and emphasizes that these products are not equivalent to conventional debt instruments. FINRA Regulatory Notice 09-73 addresses the heightened obligations when recommending complex products, including ensuring the advisor understands the product's features, risks, costs, and payoff structure. FINRA Regulatory Notice 12-03 further reinforces the obligation to perform due diligence on complex products and to ensure customers understand them. Hollings's characterization of these notes as 'like CDs but with a much better interest rate' strongly suggests either that he did not understand the product himself or that he deliberately misrepresented its risk profile.

On customer-specific suitability, Mrs. Doyle's profile is fundamentally incompatible with reverse convertibles. She was 71 years old, retired, living on fixed income, had conservative risk tolerance, sought income and preservation of capital, had no experience with derivatives or structured products, and the \$75,000 recommendation constituted approximately 22% of her total liquid net worth and 36% of her IRA. Reverse convertibles linked to high-volatility single stocks expose the investor to significant principal loss and are categorically unsuitable for a conservative retiree whose primary objectives are capital preservation and income.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation (17 CFR § 240.15l-1), Hollings was required to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation required that he provide full and fair disclosure of all material facts relating to the recommendation, including risks and conflicts of interest. Hollings failed the Care Obligation by recommending a product wholly inconsistent with Mrs. Doyle's stated objectives and risk tolerance. He failed the Disclosure Obligation by not explaining the embedded put option, the knock-in barrier, the possibility of receiving depreciated stock, or the issuer credit risk. The pricing supplement was not provided until after the trade was executed, depriving Mrs. Doyle of any opportunity to review the terms before committing her funds.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Hollings's misleading comparison of reverse convertibles to CDs-products insured by the FDIC with no principal risk-constitutes conduct inconsistent with just and equitable principles of trade. This misrepresentation is particularly egregious given the substantial differences in risk profile between CDs and reverse convertibles.

****Concentration:**** Allocating \$75,000 (22% of liquid net worth) to three single-stock-linked reverse convertibles with implied volatilities ranging from 47% to 61% created an unsuitable concentration of risk for a conservative, retired investor.

****Likely Regulatory Outcome:**** Hollings would likely face sanctions including fines, disgorgement of commissions, suspension, and potentially a bar from the industry. The firm could face supervisory failure charges if it did not have adequate procedures to flag reverse convertible sales to elderly, conservative, unsophisticated customers. In arbitration, Mrs. Doyle would have strong grounds for recovery of her losses plus costs, given the clear mismatch between her profile and the recommended products, combined with the misleading sales presentation.

Hypothetical 27

Topic: high_fees_unsuitable | Difficulty: medium

Fact Pattern

Margaret Hollis, age 71, is a retired elementary school teacher living in suburban Phoenix, Arizona. She has a fixed monthly income of \$2,800 from her pension and \$1,450 from Social Security. Her total liquid savings amount to approximately \$285,000, held primarily in certificates of deposit and a money market account at a local bank. She has no other significant assets aside from her home, which is valued at approximately \$190,000 with no mortgage. Mrs. Hollis has consistently described herself as a conservative investor whose primary goals are capital preservation and generating modest supplemental income to cover medical expenses and daily living costs. She has no prior experience with options, derivatives, or complex financial instruments and has a high school education.

In March 2023, Mrs. Hollis met with financial advisor Derek Campion after being referred by a friend at her church. During their initial meeting, she explained that she could not afford to lose any of her savings and

[NON-COM]

needed predictable income. Campion told her he had an investment that would pay her a "much higher coupon than any CD" and described it as "similar to a bond but better." He recommended she invest \$165,000-roughly 58% of her liquid net worth-into a single reverse convertible note linked to the common stock of a mid-cap biotechnology company. The note had a 14-month term, offered a 12.5% annualized coupon, and included a knock-in barrier set at 70% of the stock's initial price. The embedded fees and markups on the product totaled approximately 4.8%, or roughly \$7,920, which were not separately itemized on the trade confirmation but were instead built into the pricing of the note.

Campion did not provide Mrs. Hollis with any written materials explaining how the reverse convertible's payoff worked, nor did he explain that if the biotechnology stock declined below the 70% barrier at any point during the term, she could receive shares of the stock instead of her principal at maturity-shares that could be worth substantially less than her original investment. He did not discuss the issuer's credit risk or the fact that the high coupon reflected the significant downside risk she was assuming. He also did not explain that the 4.8% in embedded costs meant she was effectively starting at a loss, or that similar income could potentially be generated through far simpler, lower-risk instruments given her profile.

By January 2024, the biotechnology stock had fallen 41% from its initial reference price, breaching the knock-in barrier. At maturity in May 2024, the stock was trading at 54% of its initial price. Mrs. Hollis received shares of the biotechnology company worth approximately \$89,100 instead of her \$165,000 principal. Including the coupon payments she received over the term (approximately \$24,063 before taxes), her net loss was over \$51,800, representing roughly 18% of her total pre-investment liquid savings. When she contacted Campion to ask what had happened, he told her the market "just didn't cooperate" and suggested she hold the shares in hopes of a recovery. Mrs. Hollis filed a complaint with Campion's broker-dealer in July 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Campion violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer. Rule 2111 encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability (avoiding excessive activity).
2. ****Regulation Best Interest (Reg BI):**** Under the SEC's Regulation Best Interest, a broker-dealer must act in the best interest of the retail customer at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the retail customer. This includes a Care Obligation (understanding risks, costs, and alternatives and having a reasonable basis that the recommendation is in

the customer's best interest), a Disclosure Obligation (full and fair disclosure of material facts including costs and conflicts), and a Conflict of Interest Obligation.

3. ****FINRA Regulatory Notices 09-73, 10-09, and 12-03:**** These notices specifically address the sale of structured products, including reverse convertibles, to retail investors. RN 09-73 reminds firms that complex products such as reverse convertibles require heightened suitability scrutiny, particularly when sold to unsophisticated or elderly investors. RN 10-09 emphasizes that structured products with principal risk, embedded derivatives, and complex payoff structures demand that advisors understand the products themselves before recommending them and must ensure that customers understand the risks. RN 12-03 further reinforces that complex products should only be recommended when there is a reasonable basis to believe the customer can understand the product's features and risks, and that the product is suitable given the customer's profile.

4. ****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):**** Misleading a customer about the nature and risks of a product violates fundamental standards of fair dealing.

****Analysis of Violations:****

Customer-Specific Suitability Failure: Mrs. Hollis was a 71-year-old retiree with limited income, no investment sophistication, a conservative risk tolerance, capital preservation as her primary goal, and no experience with derivatives or complex instruments. A reverse convertible linked to a single volatile mid-cap biotech stock is among the highest-risk structured products available to retail investors. The product's payoff structure is asymmetric-the investor's upside is capped at the coupon, while the downside includes full equity risk below the barrier. This is fundamentally incompatible with a conservative, capital-preservation-oriented investor profile. Concentrating 58% of her liquid net worth in a single such instrument dramatically amplified the unsuitability.

Reasonable-Basis Suitability Failure: Champion described the product as "similar to a bond but better," which is materially misleading. A reverse convertible is an unsecured obligation of the issuer that embeds a short put option on an underlying equity. It bears both issuer credit risk and significant equity downside risk-characteristics entirely unlike a traditional bond. Champion either failed to understand the product himself (a reasonable-basis failure) or deliberately mischaracterized it (a Rule 2010 violation).

Disclosure Failures: Under Reg BI's Disclosure Obligation, Champion was required to disclose all material facts relating to the scope and terms of the relationship, including fees, costs, and conflicts of interest. The 4.8% embedded markup (\$7,920) was never separately disclosed or explained to Mrs. Hollis. She was not informed of the knock-in barrier mechanism, the possibility of receiving depreciated stock instead of cash at maturity, or the issuer credit risk. These are material omissions.

Care Obligation Failure (Reg BI): Champion failed to exercise reasonable diligence, care, and skill in making the recommendation. He did not evaluate reasonably available alternatives (such as investment-grade bonds, Treasury securities, or CD ladders) that could have met Mrs. Hollis's income needs without exposing her to catastrophic principal loss. The high embedded fees suggest the

recommendation may have been driven by compensation rather than the customer's best interest.

Concentration: Placing 58% of a retiree's liquid savings into a single structured product linked to one volatile stock violates basic diversification principles and heightens the unsuitability finding.

****Likely Regulatory Outcome:****

This fact pattern presents a strong case for FINRA enforcement action or arbitration liability. The combination of an elderly, unsophisticated customer; a high-risk, complex product; material misrepresentations; inadequate disclosure of fees; and excessive concentration would likely result in findings of suitability and Reg BI violations. Remedies could include full restitution of losses (approximately \$51,800), disgorgement of commissions, fines, a suspension or bar for Campion, and supervisory sanctions against the broker-dealer if it failed to implement adequate structured product review procedures as recommended in FINRA RN 12-03.

Hypothetical 28

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COMPLIANT]

Fact Pattern

In March 2022, Gerald Whitfield, a 71-year-old retired postal worker living in Tucson, Arizona, visited the branch office of his brokerage firm to discuss rolling over his \$340,000 pension lump sum distribution. Gerald had no prior investment experience beyond a savings account and a small certificate of deposit. His stated investment objective on his new account form was capital preservation, and he indicated a low risk tolerance. He told his advisor, Derek Simmons, that he needed the money to last through retirement and wanted to generate modest income to supplement his \$2,100 monthly Social Security benefit. Gerald had a high school education and had never purchased any securities. Derek Simmons had recently attended a wholesaler lunch presentation on a suite of reverse convertible notes linked to the common stock of three mid-cap biotechnology companies. The notes offered a 12.5% annual coupon paid monthly over a 14-month term, with the principal at maturity subject to conversion into shares of the worst-performing underlying stock if any of the three stocks fell below a 70% knock-in barrier. Derek recommended that Gerald invest \$255,000—approximately 75% of his rollover assets—into two tranches of these reverse convertible notes, each linked to different baskets of biotech equities. Derek explained to Gerald that the product paid a 'guaranteed high interest rate' and described it as 'like a CD but with a better return.' He did not discuss the knock-in barrier, the possibility of receiving depreciated stock instead of principal at maturity, or the credit risk of the issuing bank. Gerald signed the paperwork the same day. Derek's notes in the client file contained only a single sentence: 'Client wants income; recommended structured note for yield.' No record of any discussion regarding Gerald's understanding of derivatives, equity-linked risk, or the specific payoff mechanics of reverse convertibles was documented. By the maturity date in May 2023, one of the underlying biotech stocks had fallen 58%, breaching the knock-in barrier. Gerald received shares worth approximately \$146,000 instead of his \$255,000 principal, resulting in a loss of roughly \$109,000 before accounting for coupon payments received of approximately \$26,500, for a net loss of about \$82,500.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple regulatory standards in recommending these reverse convertible notes to Gerald Whitfield.

****Failure to Know the Customer (FINRA Rule 2111 - Suitability):**** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, investment objectives, risk tolerance, investment experience, time horizon, and liquidity needs. Gerald was a 71-year-old retiree with no securities experience, a low risk tolerance, a capital preservation objective, and dependence on the invested funds for retirement income. Reverse convertibles linked to volatile biotech equities are complex, equity-risk-bearing instruments wholly inconsistent with this profile. The recommendation failed all three components of suitability: reasonable-basis suitability (the advisor does not appear to have understood the product's risks himself, given his characterization of it as 'like a CD'), customer-specific suitability (the product was inappropriate for Gerald's profile), and quantitative suitability (concentrating 75% of the client's liquid assets in a single complex product type).

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Derek failed to consider less risky income-generating alternatives and concentrated the vast majority of Gerald's retirement assets in a high-risk structured product. Reg BI's Disclosure Obligation also required that Derek provide full and fair disclosure of material facts, including the risk of principal loss through share conversion, the knock-in barrier mechanism, and the credit risk of the issuer. Describing the product as a 'guaranteed' high-interest instrument 'like a CD' constituted a materially misleading characterization.

****FINRA Regulatory Notices 09-73, 10-09, and 12-03:**** FINRA RN 09-73 specifically addresses reverse convertibles and warns firms that these products carry risks that may not be readily apparent to retail investors, including the risk of receiving depreciated shares at maturity. It emphasizes that firms must ensure representatives understand the products they recommend and that the products are suitable given the customer's profile. RN 10-09 reinforces heightened suitability obligations for complex products, stressing that a customer's desire for yield alone does not make a complex, equity-linked product suitable. RN 12-03 further elaborates on complex products and the obligation to train representatives, perform meaningful due diligence, and ensure customers genuinely understand the risks before purchase.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Describing a reverse convertible as 'like a CD but with a better return' without disclosing the equity-linked downside risk violates the ethical standards of just and equitable principles of trade.

****Documentation Deficiency:**** Derek's single-sentence notation in the client file fails to demonstrate any meaningful analysis of suitability, any discussion of product risks, or any effort to ascertain Gerald's understanding of the payoff structure. This absence of documentation itself constitutes a supervisory and compliance concern.

****Likely Regulatory Outcome:**** Derek would likely face enforcement action including fines, disgorgement of commissions, restitution to the customer, and a potential suspension or bar. The firm could face supervisory failure charges for inadequate review of complex product sales to vulnerable retail customers. Gerald would have strong grounds for a customer arbitration claim seeking full compensatory damages.

Hypothetical 29

Topic: *failure_to_know_customer* | Difficulty: *medium*

[NON-COM]

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker in Tucson, Arizona, with a pension providing \$3,200 per month and Social Security of \$1,800 per month. He has \$340,000 in savings, most of which is in a traditional IRA rollover from his employer plan. Gerald has a high school education and no prior experience investing in anything beyond certificates of deposit and a stable value fund inside his former 401(k). In March 2023, Gerald visited the branch office of his brokerage firm to discuss options for generating additional income from his IRA without taking excessive risk. He told his advisor, Dawn Parekh, that he could not afford to lose principal because the IRA represented his only liquid savings and he anticipated needing the funds to cover future medical expenses and potential long-term care costs. Gerald's new account form listed his investment objective as "income" and his risk tolerance as "conservative." Dawn Parekh had recently attended an internal training session on structured products and was aware that the firm paid a 2.5% sales concession on reverse convertible notes, compared to 0.75% on Treasury bonds and 1.0% on investment-grade corporate bonds. In April 2023, Dawn recommended that Gerald invest \$200,000 of his IRA in three separate reverse convertible notes linked to individual equities: \$70,000 in a 12-month reverse convertible linked to shares of a mid-cap biotechnology company, \$70,000 in a 10-month reverse convertible linked to a semiconductor manufacturer, and \$60,000 in a 14-month reverse convertible linked to an electric vehicle startup. Each note offered a coupon between 11% and 14.5% and contained a knock-in barrier set at 70% of the initial reference price. Dawn told Gerald that these products would "pay you like a high-yield savings account but better" and emphasized the double-digit coupon rates. She did not explain that the notes were unsecured obligations of the issuing bank, that Gerald bore full downside equity risk if any underlying stock fell below the knock-in barrier, or that his maximum gain was capped at the coupon payment regardless of how much the underlying stocks appreciated. She did not discuss the meaning of the knock-in feature, the credit risk of the issuer, or the lack of liquidity in the secondary market. Gerald signed the purchase documents, believing he was buying something similar to a certificate of deposit with a higher interest rate. Dawn did not document any discussion of Gerald's understanding of the payoff structure and did not record any rationale for why these particular products were appropriate for him. She did not update his customer profile to reflect the equity-linked risk he was taking on. By February 2024, the biotechnology stock had declined 42%, breaching its barrier, and the semiconductor stock had fallen 35%, also breaching its barrier. At maturity, Gerald received physical delivery of depreciated shares on two of the three notes, resulting in combined losses of approximately \$58,000 in principal. The EV startup note matured above its barrier, and Gerald received his principal plus the coupon. Gerald filed a complaint with the firm stating he never understood these were equity-risk products and believed he was purchasing fixed-income instruments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dawn Parekh violated multiple regulatory requirements in recommending reverse convertible notes to Gerald Whitfield.

****Know-Your-Customer and Reasonable-Basis Suitability (FINRA Rule 2111):**** FINRA Rule 2111 requires that a broker have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and investment experience. Gerald was a 71-year-old conservative retiree with no equity experience, an income objective, a stated inability to bear principal loss, and anticipated medical and long-term care expenses. Reverse convertibles are complex structured products that expose the investor to significant downside equity risk in exchange for enhanced coupon payments. They are fundamentally unsuitable for a conservative, income-oriented retiree who cannot tolerate principal loss. Dawn failed the customer-specific suitability obligation entirely.

****FINRA Regulatory Notices 09-73 and 10-09:**** FINRA RN 09-73 reminds firms that structured products, including reverse convertibles, are complex instruments requiring heightened suitability analysis. FINRA RN 10-09 specifically addresses reverse convertibles and warns that they combine a debt instrument with a put option sold by the investor, meaning the investor bears equity downside risk. The notice emphasizes that firms must ensure customers understand the payoff structure, including the knock-in barrier, the cap on upside, the credit risk of the issuer, and the potential for principal loss or delivery of depreciated shares. Dawn failed to explain any of these features and affirmatively mischaracterized the products as similar to high-yield savings accounts.

****FINRA RN 12-03 (Complex Products):**** This notice requires heightened supervision and due diligence for complex products, including a determination that the registered representative understands the product and that the customer's profile supports the recommendation. There is no evidence Dawn assessed whether Gerald understood the products or documented any suitability rationale.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile, and must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial professional's interest ahead of the customer's. The 2.5% sales concession on reverse convertibles versus lower concessions on Treasuries and investment-grade bonds creates a clear conflict. Dawn's failure to consider lower-risk income alternatives and her motivation by compensation strongly suggest the recommendation was driven by her financial interest, not Gerald's. Under Reg BI's Disclosure Obligation, material facts about the risks, payoff structure, and conflicts of interest should have been disclosed. Dawn's misleading characterization of the products violated this obligation.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Misrepresenting a reverse convertible as akin to a high-yield savings account, when it in fact carries equity-linked downside risk and issuer credit risk,

constitutes conduct inconsistent with just and equitable principles of trade.

****Failure to Update Customer Profile:**** Dawn did not update Gerald's account documentation to reflect the equity-linked risk exposure, further demonstrating a failure to know her customer and maintain accurate records.

****Likely Regulatory Outcome:**** Dawn and her firm face potential sanctions including fines, disgorgement of commissions, restitution to Gerald, suspension or bar for Dawn, and enhanced supervisory requirements for the firm. The firm may also face liability for failure to supervise under FINRA Rule 3110, given that no supervisor flagged the concentration of a conservative retiree's IRA in volatile equity-linked structured products. Gerald's losses of approximately \$58,000 would likely be recoverable in a FINRA arbitration proceeding.

Hypothetical 30

[NON-COM

Topic: complex_products_unsophisticated_investor | Difficulty: medium

Fact Pattern

Margaret Holloway, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$2,800 and Social Security benefits of \$1,650 per month. Her total liquid savings amount to approximately \$285,000, held primarily in certificates of deposit and a money market account at her local bank. She has no prior experience with any securities beyond a small position in a balanced mutual fund held in her 403(b) retirement account, which she rolled over to an IRA upon retirement in 2017. Her stated investment objectives on her new account application are capital preservation and income generation, and her risk tolerance is marked as 'conservative.' She told her advisor, Kevin Daly, that her primary concern was making sure her savings lasted through retirement and that she could not afford to lose principal. In March 2023, Daly recommended that Margaret invest \$140,000—nearly half of her liquid savings—into a 24-month reverse convertible note linked to a basket of three technology stocks: a semiconductor manufacturer, a social media company, and a cloud computing firm. The note offered a 12.5% annual coupon, which Daly emphasized during two meetings at his office. According to Margaret's later account, Daly described the product as 'like a CD but with a much better interest rate' and told her it was 'basically guaranteed to pay back your principal unless something really extreme happens in the market.' Daly did not provide Margaret with the product's pricing supplement or term sheet prior to her signing the purchase documents. He did not explain that if any of the three reference stocks declined by more than 30% from its initial price at any observation date, she could receive shares of the worst-performing stock instead of her full \$140,000 principal at maturity. He also did not discuss the credit risk of the issuing bank, the lack of secondary market liquidity, or the fact that her upside was capped at the coupon with no participation in any appreciation of the underlying stocks. By January 2024, the semiconductor stock in the basket had fallen approximately 38% from its initial reference price due to an industry downturn. Margaret received her coupon payments totaling roughly \$8,750 over ten months, but when she contacted Daly about the investment's status, she learned for the first time that she was likely to receive shares of the semiconductor company at maturity rather than her \$140,000. The estimated value of those shares, if delivered, would be approximately \$86,800, representing a loss of over \$53,000 on her

principal. Margaret filed a complaint with the firm stating she never understood the product's downside risk and would never have agreed to the investment had it been properly explained.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Daly violated multiple regulatory standards in recommending the reverse convertible note to Margaret Holloway.

1. **Suitability - FINRA Rule 2111:** This rule requires that a broker have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. Margaret was a 71-year-old retired teacher with conservative risk tolerance, capital preservation objectives, limited liquid savings, no experience with complex securities, and dependence on her savings for retirement income. A reverse convertible note linked to a basket of volatile technology stocks is an inherently speculative product where the investor bears full downside equity risk in exchange for an enhanced coupon. The recommendation was unsuitable on its face under both the customer-specific and reasonable-basis components of Rule 2111. Under the reasonable-basis obligation, Daly appears not to have understood the product himself, given his mischaracterization of it as similar to a CD. Under the customer-specific obligation, the product was fundamentally inconsistent with every element of Margaret's stated profile.

2. **Concentration Risk:** Allocating \$140,000—approximately 49% of Margaret's total liquid savings—to a single complex structured product with significant principal risk constitutes an unsuitable concentration, particularly for a conservative retiree with limited assets.

3. **Regulation Best Interest (Reg BI):** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the product and having a reasonable basis to believe the recommendation is in the customer's best interest. Daly failed on all counts. The Disclosure Obligation requires that material facts about the recommendation be disclosed, including risks and conflicts. Daly's comparison of the note to a CD and his failure to deliver the term sheet or explain the knock-in barrier, the potential for physical delivery of depreciated shares, and the credit risk of the issuer constitute clear disclosure failures.

4. **Fair Dealing - FINRA Rule 2010:** This rule requires high standards of commercial honor and just and equitable principles of trade. Describing a reverse convertible as 'like a CD but with a much better interest rate' and 'basically guaranteed' to return principal is materially misleading and violates fair dealing obligations.

5. **FINRA Regulatory Notices 09-73, 10-09, and 12-03:** all specifically address structured products including reverse convertibles and principal-protected notes. RN 10-09 focuses specifically on reverse convertibles and warns firms that these products expose investors to full downside equity risk and are generally unsuitable for conservative investors seeking principal protection. RN 12-03 reiterates heightened suitability obligations for complex products and emphasizes the need for advisors to understand and explain payoff structures, including worst-case scenarios. RN 09-73 addresses principal-protected notes

and warns against overstating the safety of structured products.

****Likely Regulatory Outcome:**** Daly and his firm face significant liability. Probable outcomes include customer arbitration resulting in compensatory damages of approximately \$53,000 (the principal loss) plus potentially foregone interest she would have earned in CDs. Regulatory sanctions could include fines, suspension or bar for Daly, and supervisory deficiency findings against the firm for failing to ensure adequate training, review, and approval of complex product sales to retail customers. The firm's supervisory system is also implicated if there was no heightened review process for structured product sales to elderly, conservative investors.